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Ducera Quarterly Update

Q3 2025

November 2025

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I. Recent Transactions

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Recent Transactions

Wolfspeed

Advisor to the Ad Hoc Group of Convertible Noteholders of Wolfspeed in Connection with its $6.7bn Chapter 11 Restructuring

Restructuring

- Ducera advised the Ad Hoc Group of 2026, 2028, and 2029 Convertible Noteholders ("AHG"), which emerged as the largest owner of Wolfspeed reorganized equity. The plan valued the Company at a $2.6 billion enterprise value and allowed for day one gross debt reduction of more than $4.5 billion
- Ducera represented the AHG in several rounds of complex negotiations with the Debtors, the Senior Secured Notes ("SSN") and Renesas Electronics Corporation ("Renesas"), which ultimately led to a fully-supported pre-packaged plan of reorganization that limited disruption to Wolfspeed and allowed unsecured creditors to achieve a meaningful day one recovery
- Ducera's work led to a fully-consensual transaction where convertible noteholders and Renesas will receive their pro rata share of 95% of reorganized equity and $500 million of takeback debt
- Ducera worked with the AHG to structure a $275 million new money investment in the form of a 2L convertible notes rights offering, open to all convertible noteholders and backstopped by the AHG
- The transaction positions Wolfspeed for accelerated growth, leveraging its industry leading silicon carbide technology and state-of-the art manufacturing capabilities

Desktop Metal

Advisor to the Ad Hoc Group of Unsecured Convertible Noteholders of Desktop Metal in Connection with its Chapter 11 Bankruptcy

Restructuring

- Desktop Metal is an additive manufacturing company that designs and delivers industrial 3D-printing systems, materials, and software solutions, enabling manufacturers to produce composite components for prototyping, tooling, and end-use production applications
- Ducera advised the Ad Hoc Group of Unsecured Convertible Noteholders ("AHG") in addressing ~$115 million in funded liabilities for Desktop Metal, a 3D printing technology company, in connection with its Chapter 11 restructuring
- Additionally, Ducera assisted in the structuring of a $10 million bridge financing, funded by the AHG, to support operations during the prepetition sale process and plan negotiations
- Ducera advised on all aspects of negotiations of the plan of reorganization, which mainly entailed the sale of a majority of the assets and the creation of a litigation trust also funded by the AHG

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Recent Transactions (cont'd)

Advisor to PSN (d/b/a Legent Health) in Connection with its Sale to Hospital for Special Surgery and General Atlantic

Legent

M&A

- Legent is a leading operator of short-stay orthopedic and spine surgical facilities in Texas and Florida
- Ducera was retained by the company and its financial sponsor, BTG Pactual Strategic Capital, to evaluate strategic alternatives across Legent's portfolio
- The transaction follows a carve-out sale executed earlier this year, on which Ducera also advised, which positioned the company for a successful sale transaction
- Ducera's contributions include:
  - Served as strategic advisor to Legent throughout the process, including diligence and in-person management presentations
  - Created a bespoke negotiation methodology and purchase price formulation to optimize for equity value and navigate multi-stakeholder dynamics
  - Advised the parties on debt financing structuring based on our knowledge of the business and corporate structure
- The transaction positions Legent as the platform from which GA and HSS launched their national platform of independently operated ambulatory surgery centers

Advisor to the Ad Hoc Committee of Senior Noteholders of Schwazze in Connection with Schwazze's Restructuring

SCHWAZZE Grow Forth

Restructuring

- Ducera is advising the Ad Hoc Committee of Senior Noteholders ("AHC") in connection with an announced restructuring transaction whereby the AHC will emerge as the majority equity holders of Medicine Man Technologies ("MMT" or "Schwazze"), a multi-state cannabis operator with locations across Colorado and New Mexico
- Ducera played a key role representing the AHC in the negotiation process with Schwazze and other claim holders (including with certain owners of preferred equity, whom also had significant common equity ownership), navigating complex deal and regulatory dynamics and various constituent motivations
- The transaction contemplates the commitment for up to $62mm in new money investment to refinance Schwazze's existing ~$45mm First Lien term loan and provide incremental liquidity to support the transaction and reorganized business
- Upon completion of the transaction, it is anticipated that Schwazze will merge into Vireo Growth, a leading multi-state cannabis operator with business in six states

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Recent Transactions (cont'd)

Advisor to the Ad Hoc Committee of Senior Noteholders of AYR Wellness in Connection with AYR's Restructuring

AYR wellness

Restructuring

- Ducera is advising the Ad Hoc Committee of Senior Noteholders ("AHC") of AYR Wellness Inc. ("AYR"), a multi-state cannabis operator with vertically integrated operations across key markets including Florida, New Jersey, Pennsylvania, and Nevada, in connection with a comprehensive restructuring transaction
- Ducera has played a leading role in structuring and negotiating a creditor-led transaction involving a UCC foreclosure and Canadian CCAA filing, through which the AHC is expected to acquire substantially all of AYR's operating assets and emerge as the majority equity holders of the reorganized company
- The contemplated transaction provides for a bridge-to-equity DIP facility to fund operations through closing, the elimination of ~$400mm of funded debt, and the preservation of key state licenses and operations across AYR's core markets
- Ducera continues to coordinate with Paul Hastings and Goodmans (legal counsels) and other stakeholders across the capital structure, leading diligence, business plan evaluation, and intercreditor negotiations to drive a timely and value-maximizing resolution for the AHC

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II. Macro Trends

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Macro Trends: Executive Summary

- Equity and Credit Markets (Pages 10-14):
  - **Equity Market Performance:** U.S. equities posted solid gains in Q3, with the S&P 500 and NASDAQ gaining 7.8% and 11.2%, respectively, driven by easing inflation pressures and decreasing rate volatility. Meanwhile, international equities rose a more modest 6.7%, and crypto markets also advanced, with Bitcoin up ~6.8% QoQ and Ethereum rising ~67.6%[1]
  - **Credit Markets:** Fixed income markets remained level with the prior quarter, with BBB yields at roughly 5.0%, single-B yields around 6.6%, and CCCs near 11.8%. Overall, Q3 2025 yields continue to trade in line with prior-year yield-to-maturity levels. U.S. Treasury yields were broadly stable, as moderating inflation and expectations of Fed easing offset fiscal concerns, with the 2-year holding near 3.6% and the 10- and 30-year rising modestly to 4.15% and 4.73%, respectively
  - **Market Dynamics & Outlook**: Equity markets extended their rally in Q3, supported by moderating inflation data, declining rate volatility, and resilient corporate performance. Looking ahead, investors are likely weighing the durability of the soft-landing narrative against lingering policy and fiscal uncertainties, setting the stage for more selective risk-taking heading into Q4
- M&A and Investment Activity (Pages 15-24):
  - **M&A Total Deal Value and Volume**: While global M&A value continued to recover from 2023 lows, rising ~19.0% QoQ, Q3 2025 saw a contraction in global deal count, which declined ~17.0% QoQ. In the U.S., deal value increased by ~41.5% QoQ while deal volume fell ~10.9% QoQ, underscoring a resurgence in mega-cap transactions and renewed investor confidence
  - **M&A Sector Activity:** Despite an overall contraction in deal volume, QoQ changes in deal value varied by sector, with Energy and Natural Resources showing the largest increase in transaction value. Technology represented the second-largest increase in deal value at ~25% QoQ, reflecting the persistent AI boom across the sector
  - **Private Equity Deal Activity:** Financial sponsor activity rose to 36% of total deal volume, just 14% below its Q2 2022 peak, demonstrating continued recovery. Private Equity participated in three of the ten largest transactions by deal value in Q3 2025, and activity grew across all market segments except for the lower middle market

Notes:
(1) Cryptocurrency markets are subject to high volatility and regulatory uncertainty

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Macro Trends: Executive Summary (cont'd)

- Capital Markets & Private Credit Update (Pages 25-37):
  - **Private Credit Market Growth:** Global AUM surpassed $1.8 trillion and is on track to hit $4.5 trillion by 2030, fueled by demand from insurance capital and expansion into Private IG and asset-backed strategies. However, competition for new assets is intensifying, with sourcing opportunities now the top headwind cited by private credit participants
  - **Syndicated Markets:** Syndicated markets continue to compete with private credit for new money transactions and posted several refinancings of private credit deals. Returning confidence in deal execution has driven an uptick in M&A-related issuances, with this expected to continue for the balance of the year and into 2026
  - **Issuance Trends:** Q3 issuances are up YoY, primarily driven by a resurgence in refinancing and repricing activity as borrowers took advantage of improved market technicals, tighter spreads, and reduced volatility. Leveraged finance markets ended Q3 on strong footing, with September recording $12.9bn of LBO TLB issuance, the highest monthly total since January

- Distressed Opportunity Indicators (Pages 38-41):
  - **Rating Activities:** Upgrade and downgrade activity varied slightly across Moody's and S&P, with Moody's at 1.0x and S&P at 1.2x. The consumer discretionary sector recorded the highest number of downgrades, reflecting persistent pressure from evolving tariff policies and shifting consumer demand
  - **Distressed Debt Tracker:** Ducera's distressed debt company tracker identified the following sectors with most debt trading in stressed / distressed levels: telecom (~$19.3bn of distressed debt), chemicals (~$16.3bn of distressed debt), and software and consulting (~$13.5bn of distressed debt)

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i. Equity and Credit Markets

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Capital Markets Performance Dashboard

Summary Capital Markets Performance

Index / Metric	Current 9/30/25	1 Week Ago[1] 9/23/25	End of Last Month 8/31/25	End of 2024 12/31/24	2025 Tights	2025 Wides	Delta to Current vs. 9/23/25	8/31/25	12/31/24	Tights	Wides
Equity Markets											
S&P 500	6,688	6,657	6,460	5,882	4,983	6,694	0.47%	3.53%	13.72%	34.23%	(0.08%)
Dow Jones	46,398	46,293	45,545	42,544	37,646	46,398	0.23%	1.87%	9.06%	23.25%	-
NASDAQ	22,660	22,573	21,456	19,311	15,268	22,789	0.38%	5.61%	17.34%	48.42%	(0.57%)
Russell 2000	6,055	6,108	5,881	5,543	4,376	6,133	(0.86%)	2.96%	9.25%	38.38%	(1.26%)
Other Macro											
VIX	16.28	16.64	15.36	17.35	11.93	52.33	(2.16%)	5.99%	(6.17%)	36.46%	(68.89%)
WTI ($/bbl)	$63.17	$63.76	$64.36	$72.44	$58.50	$85.19	(0.93%)	(1.85%)	(12.80%)	7.98%	(25.85%)
High Yield											
BB: YTW	5.75%	5.59%	5.77%	6.43%	5.57%	7.15%	16 bps	(2 bps)	(68 bps)	18 bps	(140 bps)
BB: STW	177 bps	169 bps	179 bps	186 bps	156 bps	306 bps	8 bps	(2 bps)	(9 bps)	21 bps	(129 bps)
B: YTW	6.75%	6.65%	6.93%	7.54%	6.64%	8.88%	10 bps	(18 bps)	(79 bps)	11 bps	(213 bps)
B: STW	283 bps	279 bps	298 bps	296 bps	254 bps	486 bps	4 bps	(15 bps)	(13 bps)	29 bps	(203 bps)
CCC: YTW	11.87%	11.64%	11.76%	11.87%	11.32%	15.28%	23 bps	11 bps	-	55 bps	(341 bps)
CCC: STW	807 bps	793 bps	798 bps	746 bps	690 bps	1137 bps	14 bps	9 bps	61 bps	117 bps	(330 bps)
Loans											
Leveraged Loan Index - Price	97.390	97.332	97.364	97.785	94.630	97.994	0.06%	0.03%	(0.40%)	2.92%	(0.62%)
Leverage Loan Index - Spread	388 bps	391 bps	391 bps	398 bps	387 bps	473 bps	(4 bps)	(3 bps)	(11 bps)	1 bps	(86 bps)
% of Loans Bid at or Above Par	36.88%	45.92%	41.32%	62.60%	2.51%	68.24%	(904 bps)	(444 bps)	(2,572 bps)	3,436 bps	(3,136 bps)
Base Rates											
3-month SOFR	3.98%	4.00%	4.17%	4.31%	3.98%	4.33%	(2 bps)	(19 bps)	(33 bps)	-	(36 bps)
2 Year Treasury Yield	3.61%	3.59%	3.61%	4.24%	3.49%	4.36%	2 bps	(1 bps)	(63 bps)	11 bps	(75 bps)
10 Year Treasury Yield	4.15%	4.11%	4.22%	4.57%	4.01%	4.63%	4 bps	(8 bps)	(42 bps)	14 bps	(48 bps)
30 Year Treasury Yield	4.73%	4.72%	4.92%	4.78%	4.43%	5.08%	0 bps	(20 bps)	(6 bps)	30 bps	(35 bps)

Markets were broadly resilient during the quarter, with equities moving higher and credit conditions remaining stable despite interest rate uncertainty ahead of the Fed meeting in September

Investor sentiment improved due to the broad expectation of monetary policy easing, with the Fed reducing the benchmark rate by 25 bps to 4.00-4.25% during the September FOMC meeting. Corporate earnings were largely positive and enthusiasm around AI continued to be the center of focus

Sources: FactSet, FRED, PitchBook LCD
Note: Data as of 09/30/2025
(1) If the date one week prior is a weekend or market holiday, refers instead to the preceding business day

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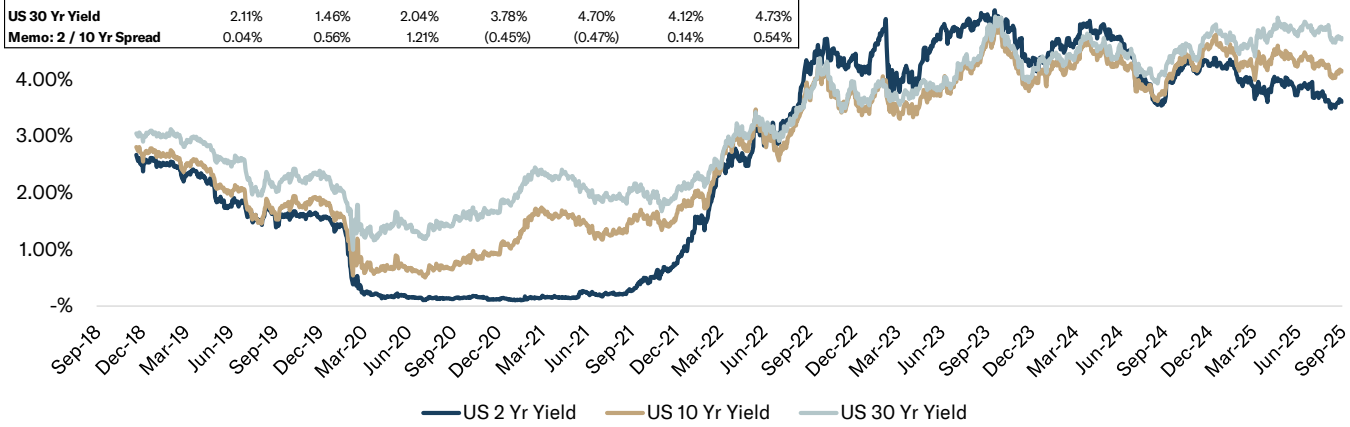
Credit Market Yields

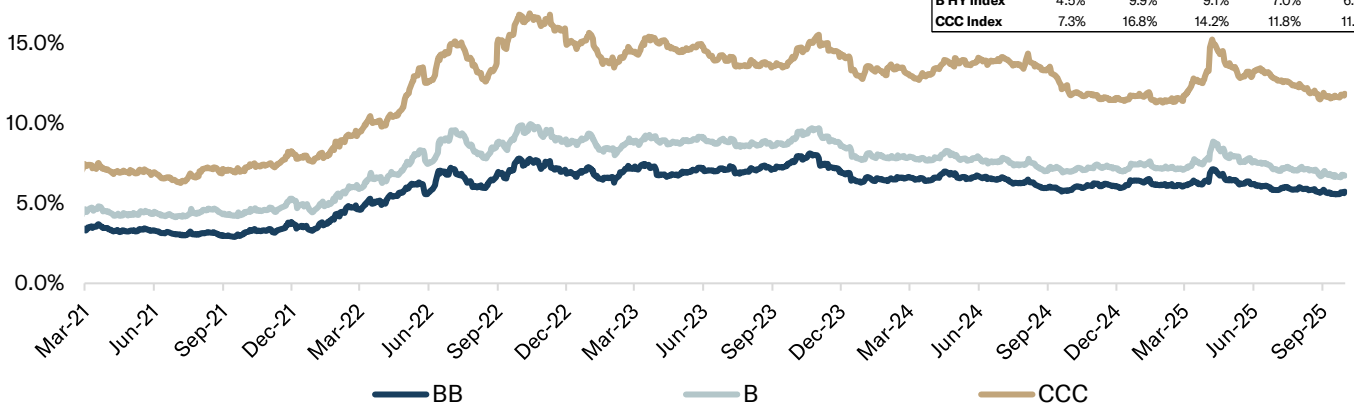
U.S. Treasury Yields Over Time

	YTM as of:						
	9/30/19	9/30/20	9/30/21	9/30/22	9/30/23	9/30/24	9/30/25
US 2 Yr Yield	1.62%	0.13%	0.28%	4.28%	5.04%	3.64%	3.61%
US 10 Yr Yield	1.66%	0.68%	1.49%	3.83%	4.57%	3.78%	4.15%
US 30 Yr Yield	2.11%	1.46%	2.04%	3.78%	4.70%	4.12%	4.73%
Memo: 2 / 10 Yr Spread	0.04%	0.56%	1.21%	(0.45%)	(0.47%)	0.14%	0.54%



U.S. High Yield YTW Over Time

	YTW at:				
	9/30/21	9/30/22	9/30/23	9/30/24	9/30/25
BB HY Index	3.2%	7.8%	7.6%	5.8%	5.8%
B HY Index	4.5%	9.9%	9.1%	7.0%	6.8%
CCC Index	7.3%	16.8%	14.2%	11.8%	11.9%



In Q3 2025, U.S. Treasury yields were broadly stable as moderating inflation and Fed easing expectations offset fiscal concerns. The 2-year held near 3.6%, while the 10-year and 30-year rose modestly to 4.15% and 4.73%, respectively, steepening the curve slightly

Credit markets remained constructive, with BB yields at 5.8%, single-Bs near 6.8%, and CCCs near 11.9%; overall, Q3 2025 yields remain hovering around the prior-year yield-to-maturities

 Sources: Bloomberg, FRED BAML Indices

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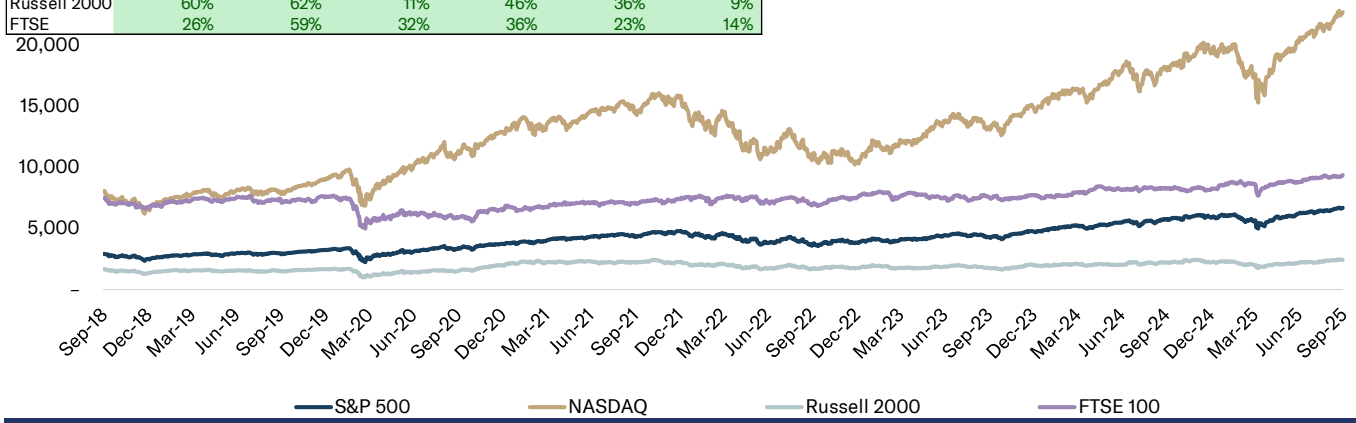
Equity and Crypto Markets

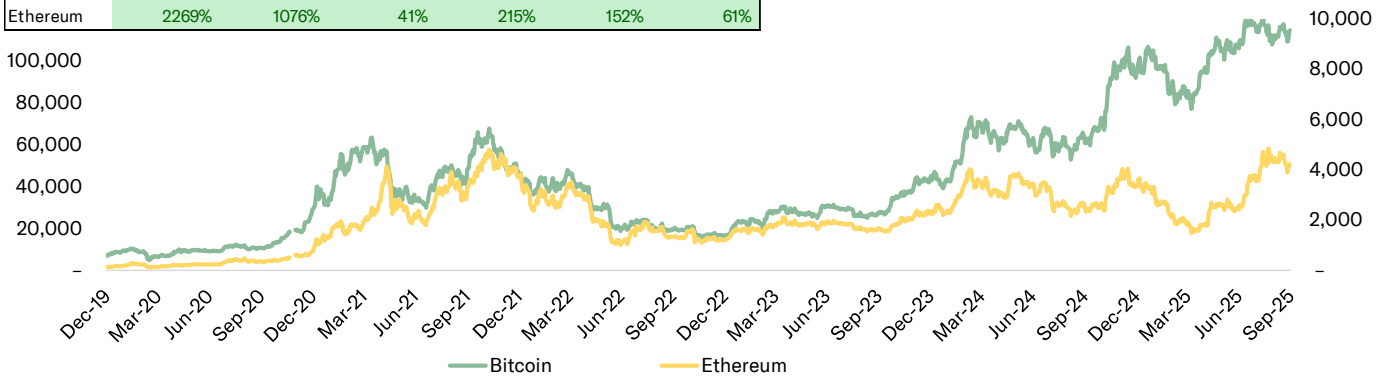
Equity Markets Index Values Over Time

	Return to Date (as of 9/30/25) from:					
	9/30/19	9/30/20	9/30/21	9/30/22	9/30/23	9/30/24
S&P 500	125%	99%	55%	87%	56%	16%
NASDAQ	183%	103%	57%	114%	71%	25%
Russell 2000	60%	62%	11%	46%	36%	9%
FTSE	26%	59%	32%	36%	23%	14%



Bitcoin & Ethereum Price Over Time

	Return to Date (as of 9/30/25) from:					
	9/30/19	9/30/20	9/30/21	9/30/22	9/30/23	9/30/24
Bitcoin	1291%	971%	164%	490%	326%	80%
Ethereum	2269%	1076%	41%	215%	152%	61%



In Q3 2025, U.S. equity markets were broadly positive as moderating inflation supported risk sentiment. The S&P 500 rose 16% YoY, while the NASDAQ outperformed with a 25% gain, driven by renewed strength in large-cap tech. Small caps and international equities lagged, with the Russell 2000 and FTSE up 9% and 14%, respectively

In crypto, momentum reaccelerated as Bitcoin advanced ~80% YoY and Ethereum gained ~61%, reflecting renewed optimism around blockchain adoption

 Sources: Bloomberg

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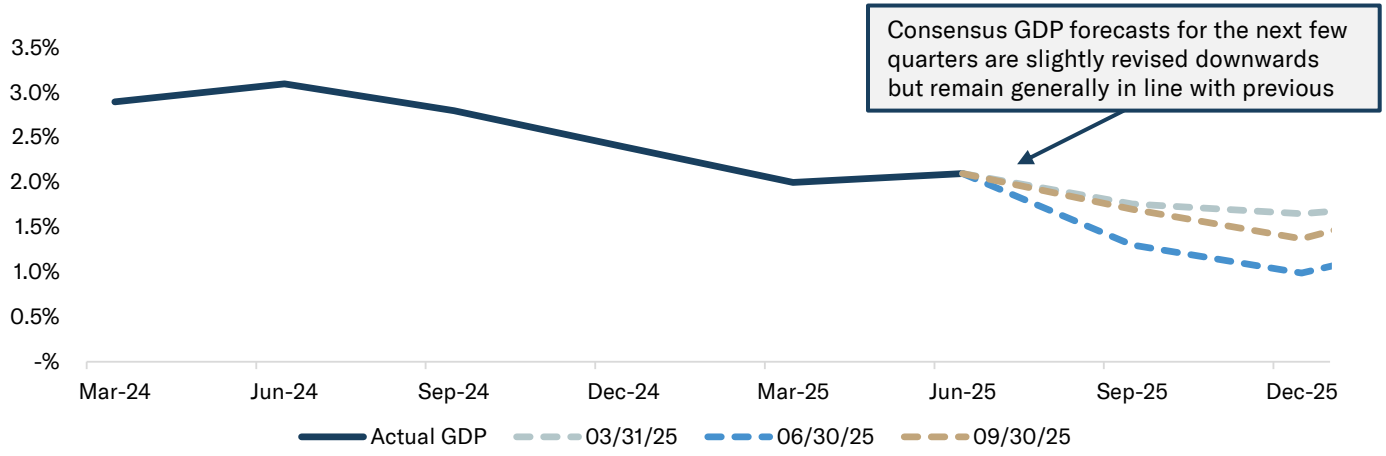
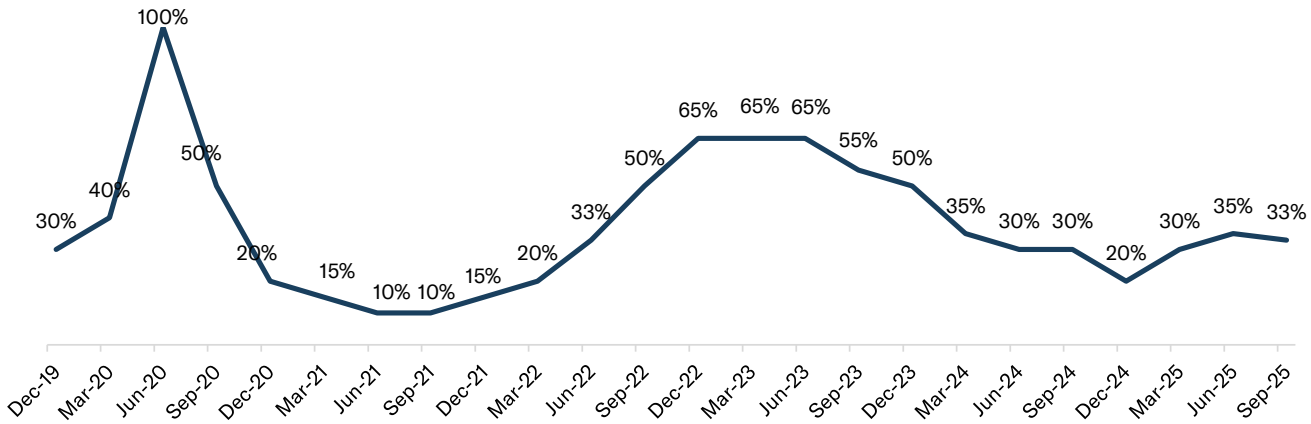
GDP and Economic Expectations

U.S. Real GDP (YoY Change %) – Historical and Consensus Estimate Curves



Consensus Probability of a Recession in Next 12 Months



In Q3 2025, Consensus Estimate for U.S. Real GDP was revised lower through 2026-27, signaling expectations of gradual cooling in economic momentum amid softer consumer demand and delayed investment recovery

Meanwhile, Bloomberg's 12-month recession probability eased slightly to 33%, down from the previous quarter, but still in-line with early 2024 sentiment

 Sources: Bloomberg

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ii. M&A and Investment Activity

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Foreword by Ducera's Co-Heads of M&A

Market Commentary

John Vaske
Vice Chairman, Partner, and Co-Head of M&A

Chris Grubb
Partner and Co-Head of M&A

"M&A markets continued their positive momentum in the third-quarter, benefiting from a year-to-date return in large and mega-cap transactions. While much of the strengthening in overall activity levels has been driven by strategic acquirers, select sovereign and private equity investors participated with landmark transactions. The current level of M&A activity is being supported by robust financing markets, driven by competition between private and syndicated markets to the benefit of issuers."

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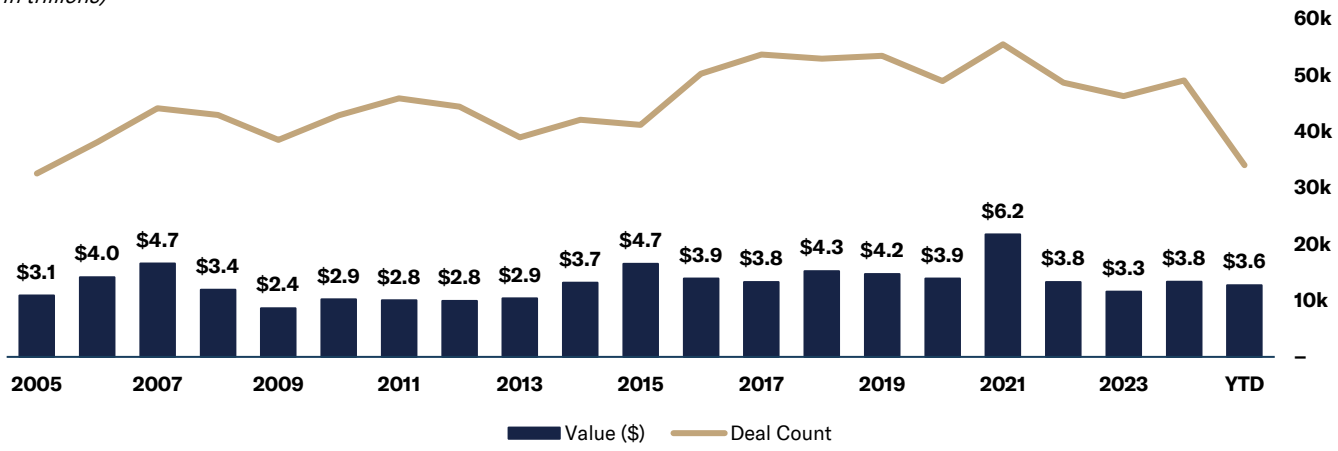
Global M&A Market Activity

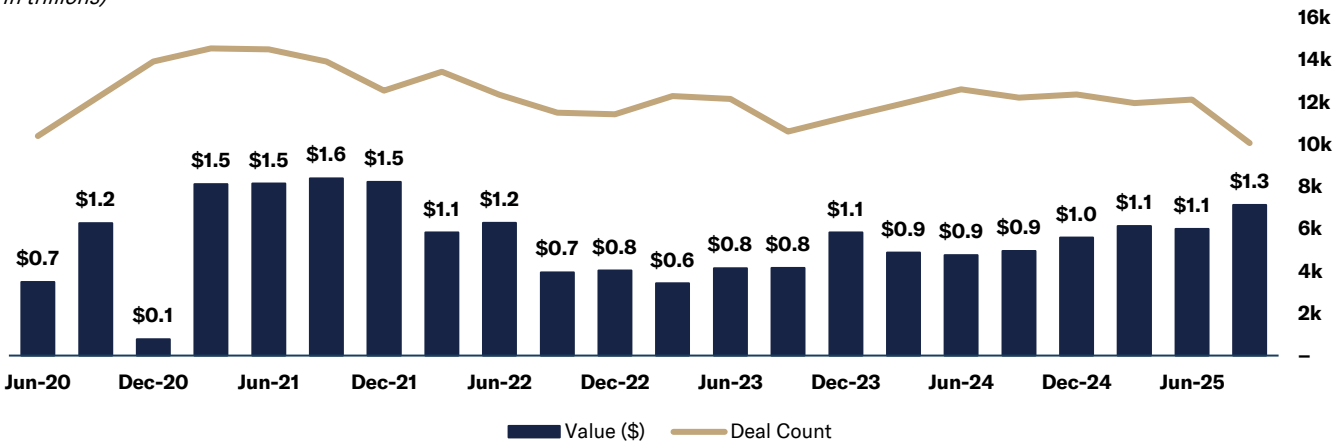
Annual M&A Volume

($ in trillions)



Quarterly M&A Volume

($ in trillions)



Global M&A value has continued to rebound from its 2023 lows, with Q3 2025 marking the strongest quarter since 2021, driven by a resurgence in mega-cap transactions and renewed confidence across strategic and financial buyers

Average disclosed deal size jumped 19% QoQ from $112mm in Q2 2025 to $134mm in Q3 2025

Source: Mergermarket
Notes: Value & volume activity based on deal announcement reporting | YTD notation represents YTD statistics as of 9/30/25

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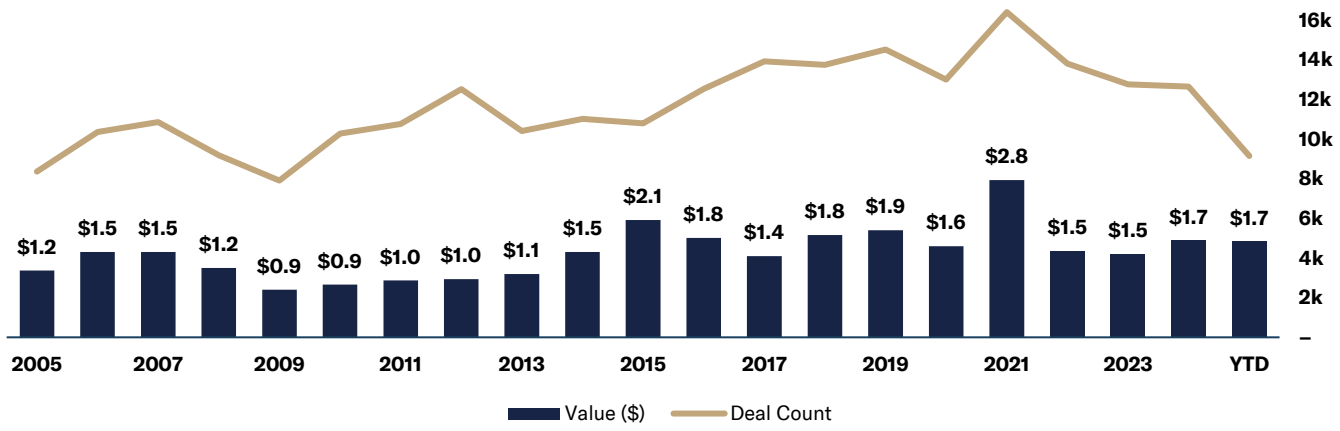
U.S. M&A Market Activity

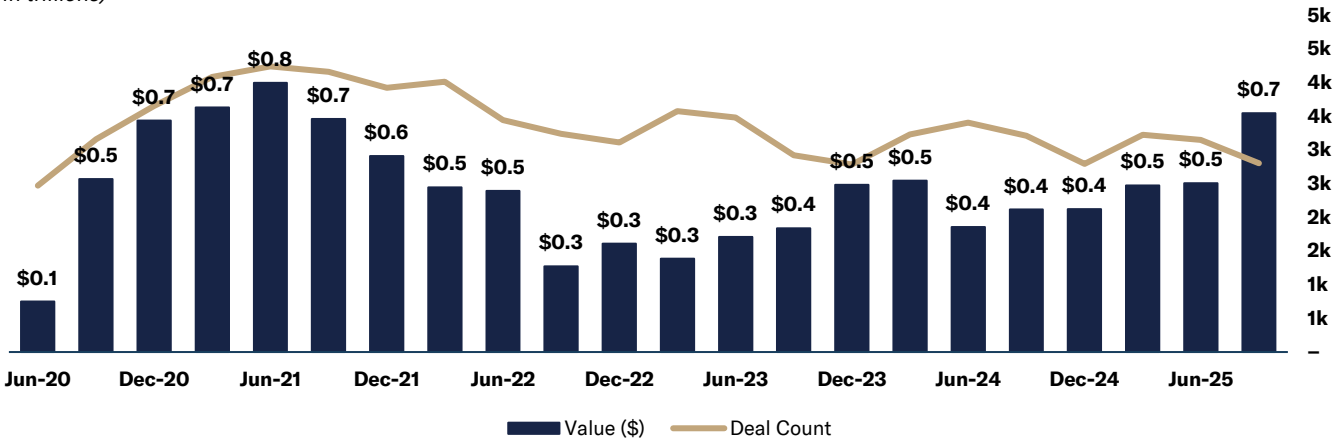
Annual M&A Volume

($ in trillions)



Quarterly M&A Volume

($ in trillions)



Q3 2025 saw a marked rebound in deal value versus the first half of the year, as companies regained confidence following a period of heightened geopolitical tension and U.S. trade policy uncertainty that had tempered M&A appetite in H1 2025

While Q1 and Q2 2025 saw deal volume and deal value stagnate, Q3 witnessed a sharp rebound at a 42% increase in deal value, driven by a surge in mega-cap transactions that reignited overall deal activity and sentiment

Source: Mergermarket
Notes: Value & volume activity based on deal announcement reporting | YTD notation represents YTD statistics as of 9/30/25

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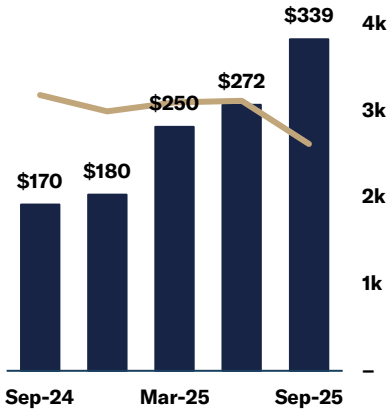
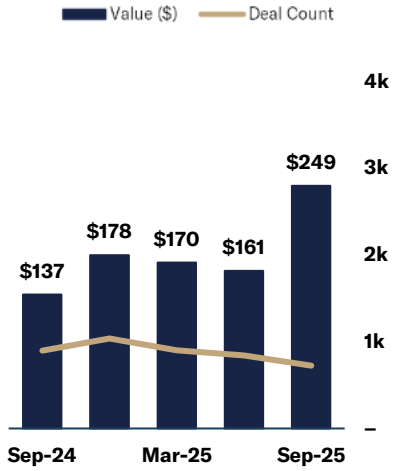
Global M&A Market Trends: Sector Activity

Technology

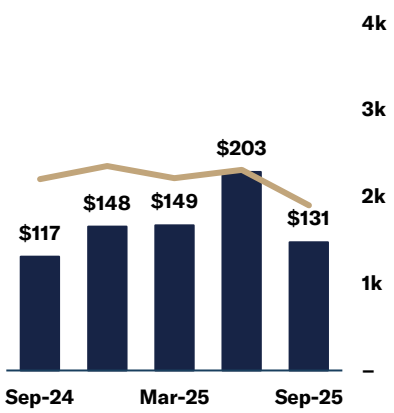
($ in billions)



Energy & Nat. Resources

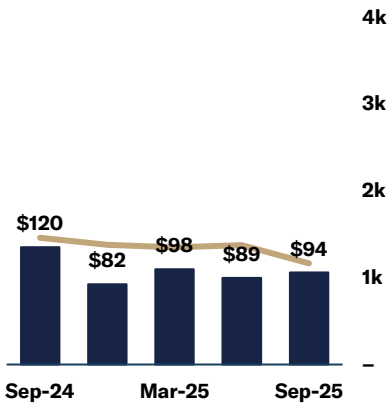


Industrials

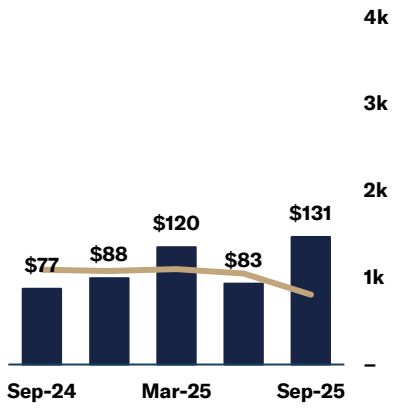


Consumer & Retail

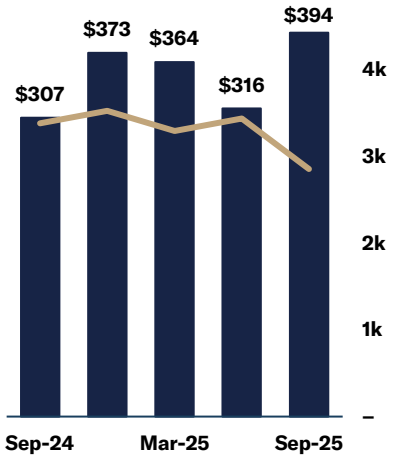
($ in billions)



Healthcare



Other Sectors[1]



Globally, deal volume continued to contract across all sectors through Q3 2025, while QoQ changes in deal value varied by sector

Energy and Natural Resources posted the largest quarter-over-quarter increase in deal value, up 54% despite a decline of 117 transactions, underscoring the impact of several large-scale deals. Technology followed with a 25% increase in deal value, even as total deal count fell by 497, reflecting continued strength in high-value strategic and AI-driven transactions

Source: Mergermarket
Notes: Value & volume activity based on deal announcement reporting

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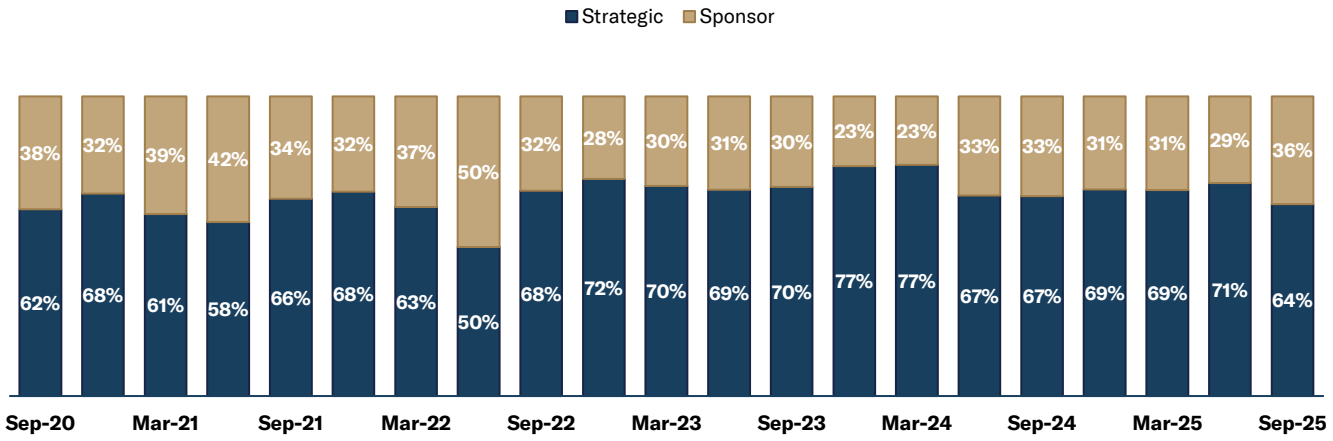
Global M&A Market Trends: Strategic & Sponsor Activity

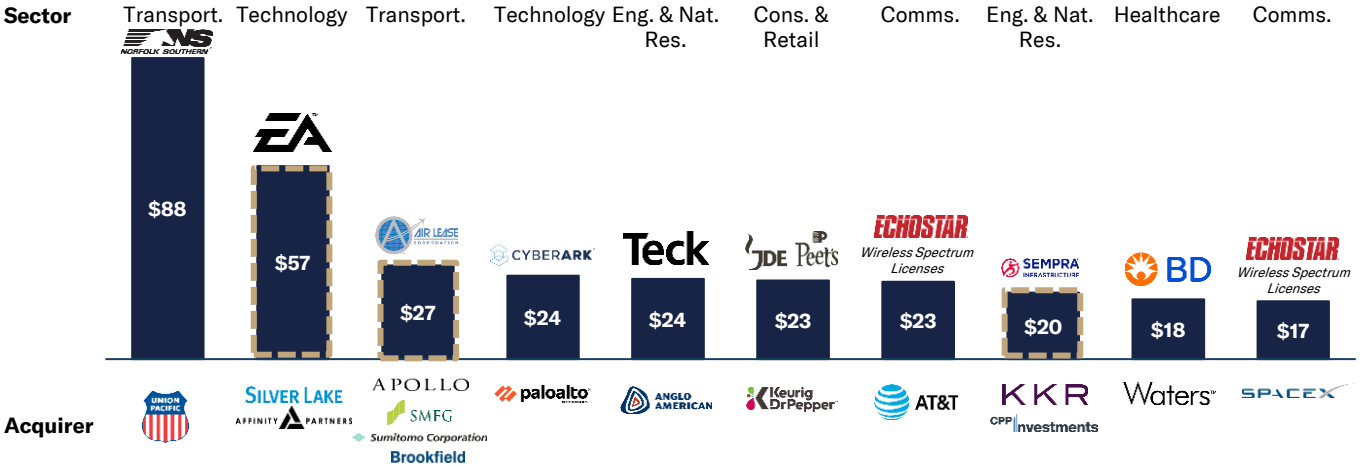
Quarterly M&A Activity by Acquirer Type



Largest Acquisitions of Q3 2025

Sponsor-Backed Transaction

($ in billions)



Sponsor activity climbed to 36% of total deal volume, just 14% below its Q2 2022 peak, fueled by significant sponsor dry powder and constructive debt financing markets

Private equity sponsors were involved in three of the ten largest transactions by deal value in Q3 2025, signaling a strengthening M&A environment supported by a more accommodative regulatory backdrop and renewed confidence among GPs to deploy capital

Source: Mergermarket
Notes: Value & volume activity based on deal announcement reporting

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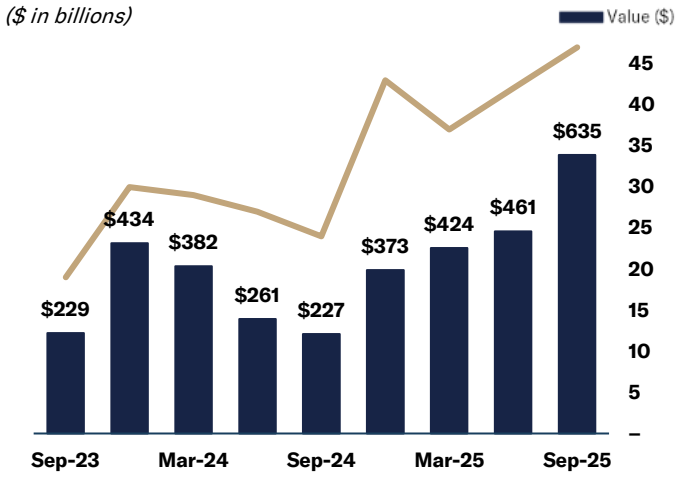
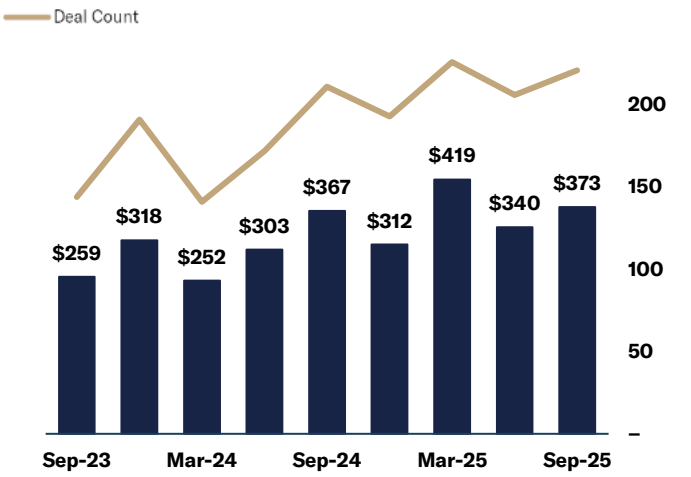
Global M&A Market Trends: Transaction Size

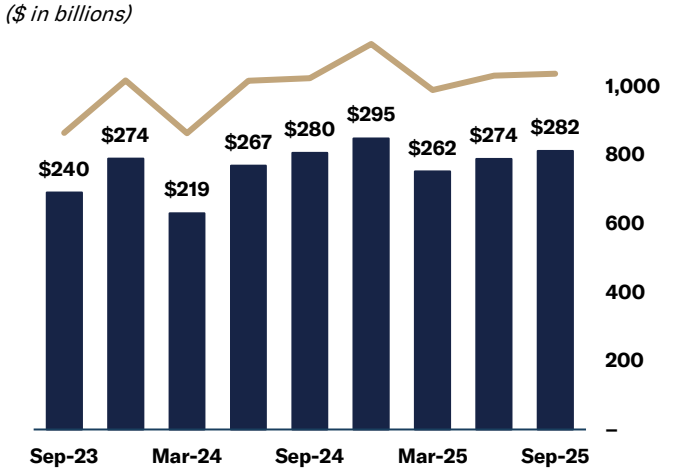
Mega-Cap (> $5bn)



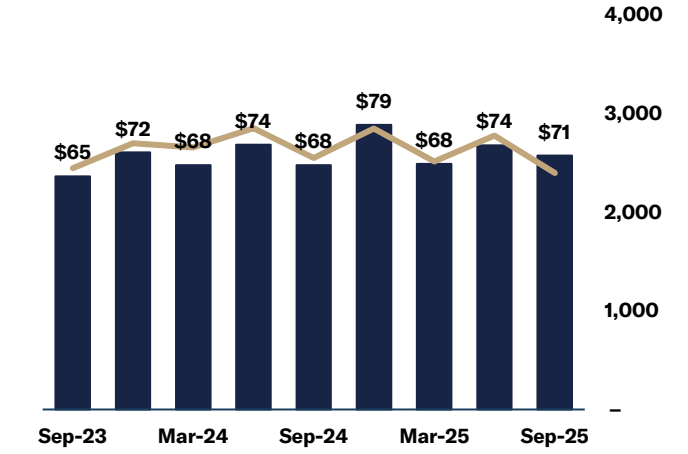
Large-Cap ($1bn - $5bn)



Upper-Middle Market ($100mm - $1bn)



Lower-Middle Market ($5mm - $100mm)



Deal value rose across all market segments except for the lower middle market between Q2 and Q3 2025. The mega-cap segment led the rebound, surging from $461 billion to $635 billion, while large-cap activity also posted meaningful gains following a weak Q2

In contrast, upper- and lower-middle market deal values remained relatively flat over the same period, reflecting a continued focus by buyers on scale transactions

Source: Mergermarket
Notes: Mega-cap > $5bn+, Large-cap $1bn-$5bn, Upper-middle-market $100mm - $1bn, Lower-middle-market $5mm - $100mm 2c

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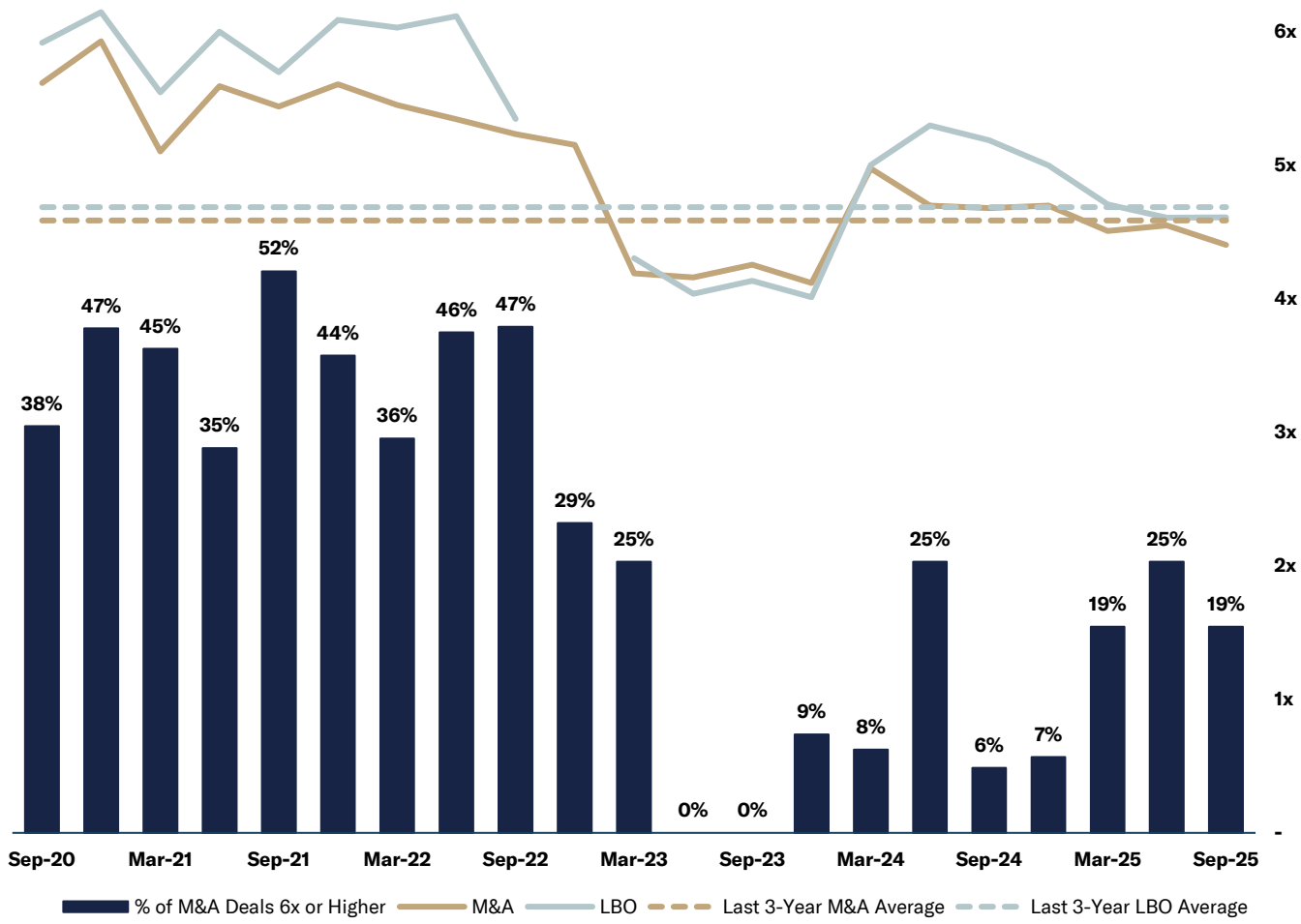
Global M&A Market Trends: Leverage Levels

Average Adjusted Total Leverage for Syndicated M&A & LBO Driven Loan Deals[1]



The average pro forma adjusted debt multiple of M&A deals backed by syndicated leveraged loans was 4.4x during Q3 2025, remaining below 2024's average of 4.8x

Lenders remain conservative, with transactions at 6.0x or higher leverage dropping to 19% in Q3

Source: CreditSights
1) No LBO driven loans syndicated in Q2 and Q3 2023

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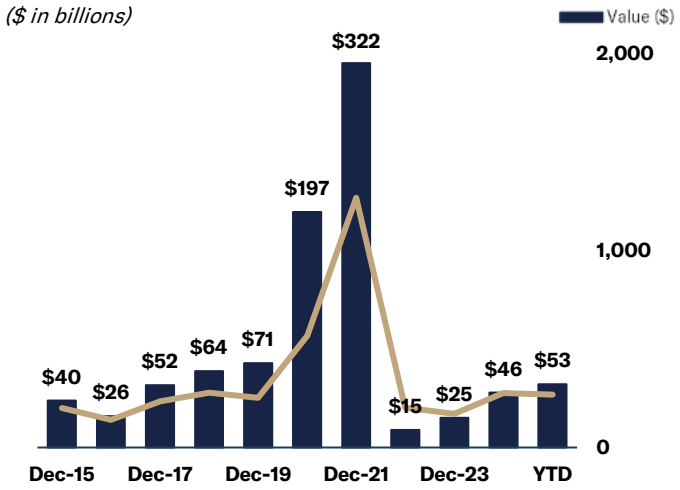
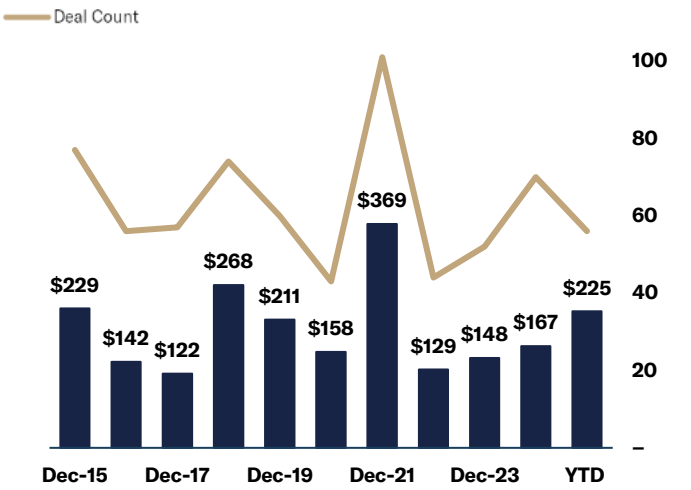
U.S. M&A Market Trends: Exits, Take Privates, and Carve-Outs

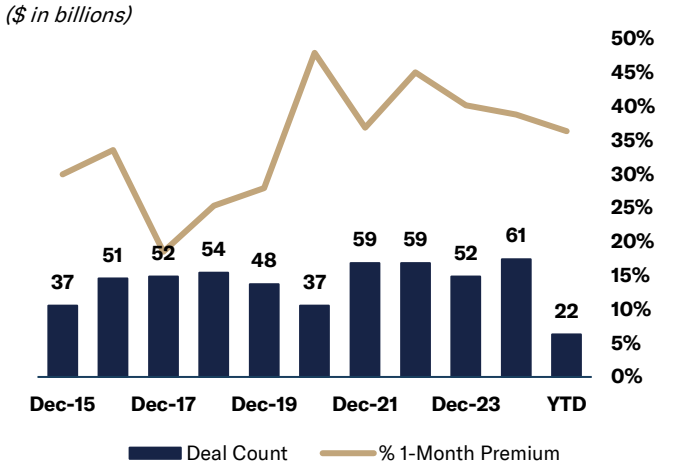
U.S. IPO Volume



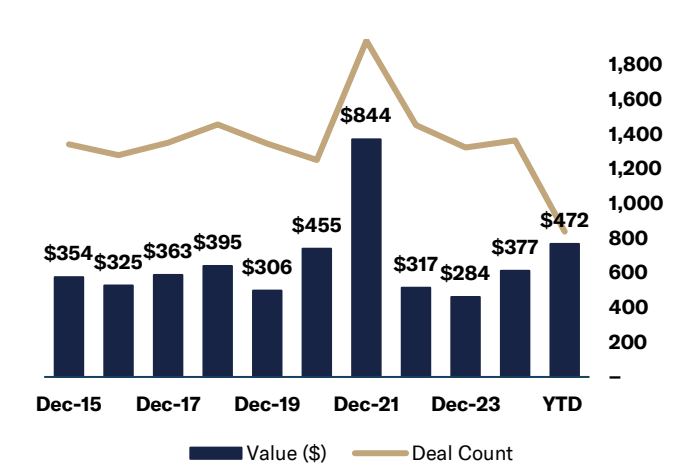
U.S. Large-Cap Divestitures[2]



U.S. Take Private M&A[1]



U.S. Financial Sponsor Exits



Despite trailing pre-covid levels, IPO activity continues to ramp off of 2022 lows

Large-cap corporates have increasingly executed divestiture focused strategies over the last four years

U.S. sponsors continue to exit from high-value investments as YTD period demonstrated a marked increase in exit activity by deal value, already exceeding 2024 sponsor exit value

Sources: FactSet, PitchBook
1) $100mm minimum transaction value
2) Public company parent and $1bn minimum transaction value
3) YTD notation represent YTD statistics as of October 2025

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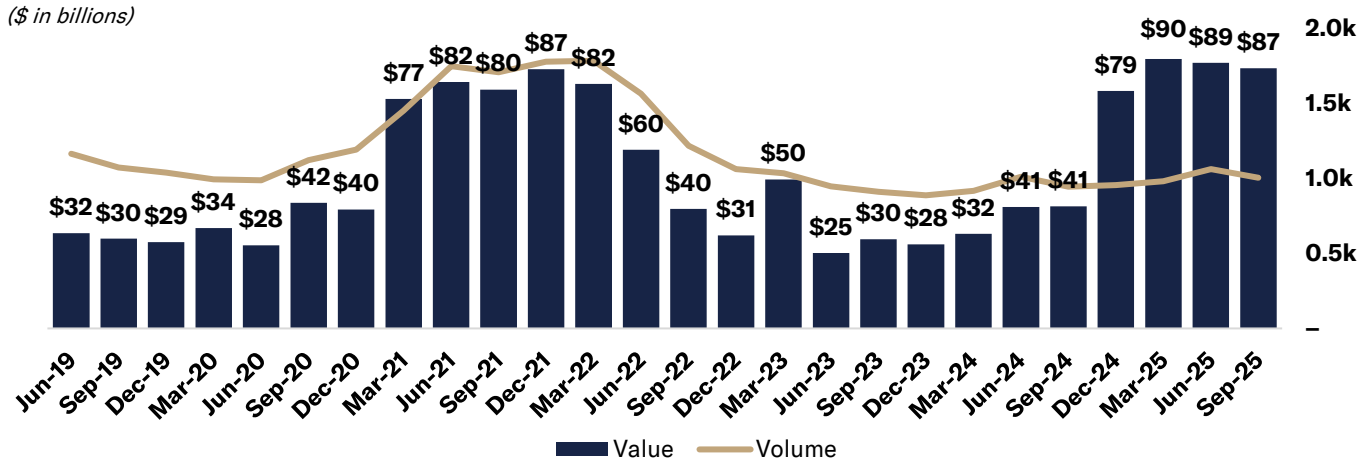
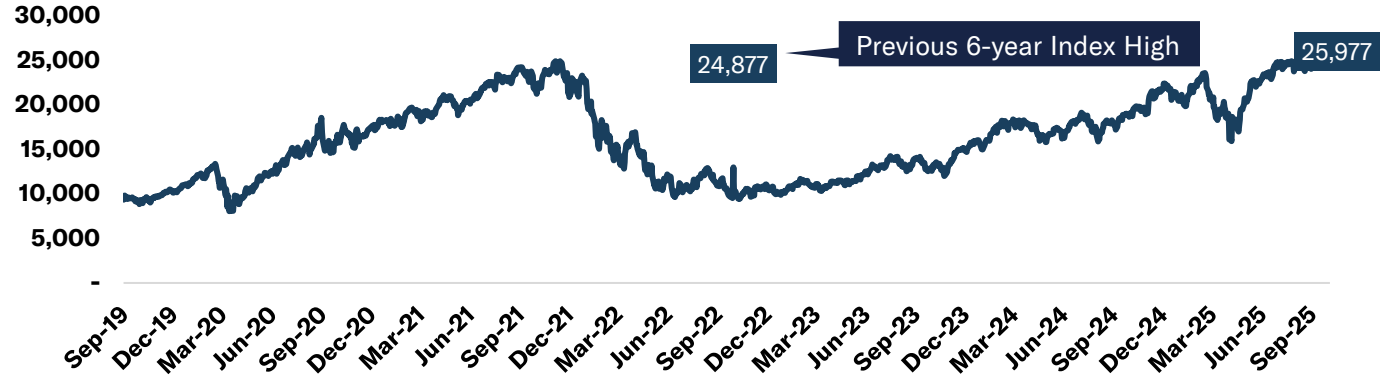
U.S. Venture Capital Trends

Quarterly US Total Venture Capital Deal Value and Deal Count



Refinitiv U.S. Venture Capital Index

	Return to Date (as of 10/6/25) from:					
	9/30/19	9/30/20	9/30/21	9/30/22	9/30/23	9/30/24
VC Index	181%	62%	20%	173%	104%	37%



VC deal value declined ~5.5% QoQ, reflecting normalization following the AI-led surge across the industry in late 2024 and early 2025

In Q3 2025, investor appetite in venture capital remained heavily concentrated in AI, which captured 46% of global venture funding. However, beyond marquee AI and enterprise software deals, broader venture activity continued to face a challenging fundraising environment marked by tighter capital availability and heightened selectivity among investors

Sources: Bloomberg, Refinitiv, PitchBook

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iii. Capital Markets & Private Credit Update

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Syndicated Leveraged Finance Markets – Key Commentary

- **Leveraged finance market conditions remain robust, having rallied significantly from the lows associated with Liberation Day earlier this year**
  - Q3 issuances are up YoY primarily driven by a resurgence in refinancing and repricing activity as borrowers took advantage of improved market technicals, tighter spreads, and reduced volatility
  - Returning confidence in deal execution has driven an uptick in M&A-related issuances; this trend is expected to continue for the balance of the year and into 2026
  - Syndicated markets continue to compete with private credit for new money transactions and posted several refinancings of private credit deals
- **The loan market was incredibly active in Q3, buoyed by repricing activity initiated in July and August volumes outperforming recent years despite the typical seasonal slowdown**
  - September included $12.9bn in TLB volume supporting LBOs, the highest monthly total since January
  - While in-market loan volumes have converged to YTD averages, the pace of new money activity has picked up due to an uptick in acquisition financings
- **HY secondaries experienced a similar recovery to leveraged loans over the same period**
  - Spreads remained largely unchanged following the normalization in Q2 after Liberation Day, with the BB index closing the quarter at ~177 bps, Single B at ~283 bps, and CCC at ~807 bps
  - HY spreads remain well inside of 10-year averages, despite geopolitical (Russo-Ukrainian war, Middle East) and macroeconomic uncertainty (tariff impact on inflation, fiscal policy)
- **Ducera expects the syndicated leverage finance markets to remain strong, absent any unforeseen macroeconomic or geopolitical shocks vs. what has been absorbed to date**

Capital formation and fund flows remained resilient in Q3, despite earlier disruptions

While M&A/LBO activity gained traction in Q3, YTD volumes remain below 2024, underscoring an undersupplied market

The broadly syndicated markets are poised to strongly compete with private credit for new transactions, even as the M&A/LBO backlog builds toward historical norms

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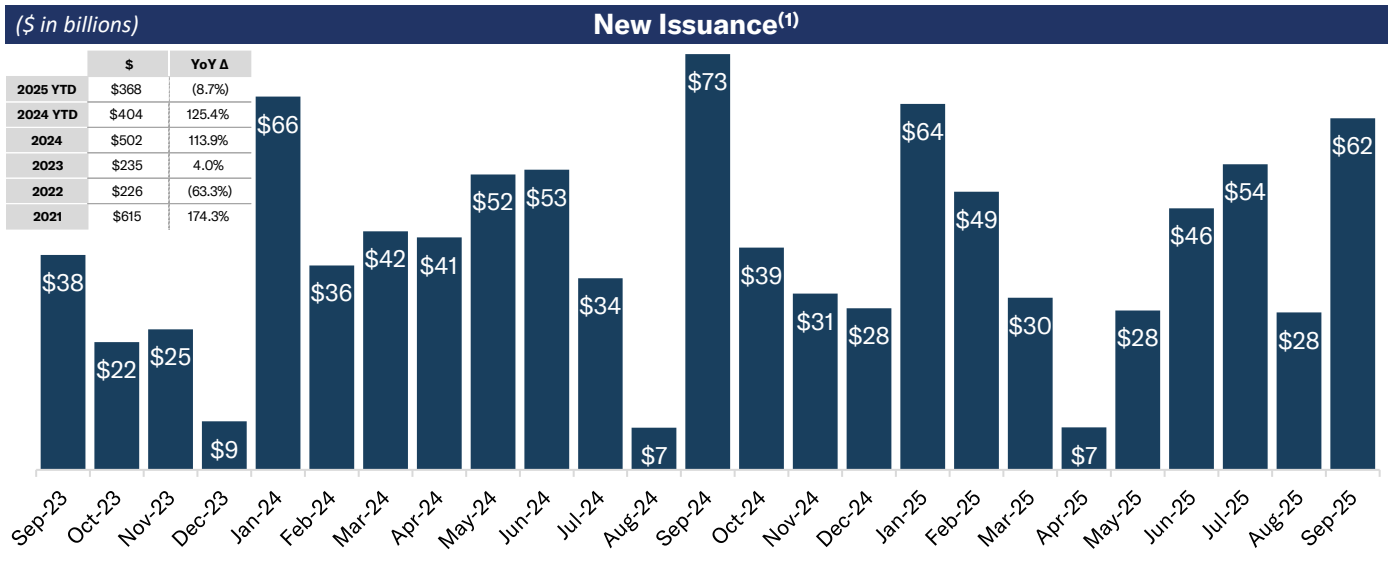
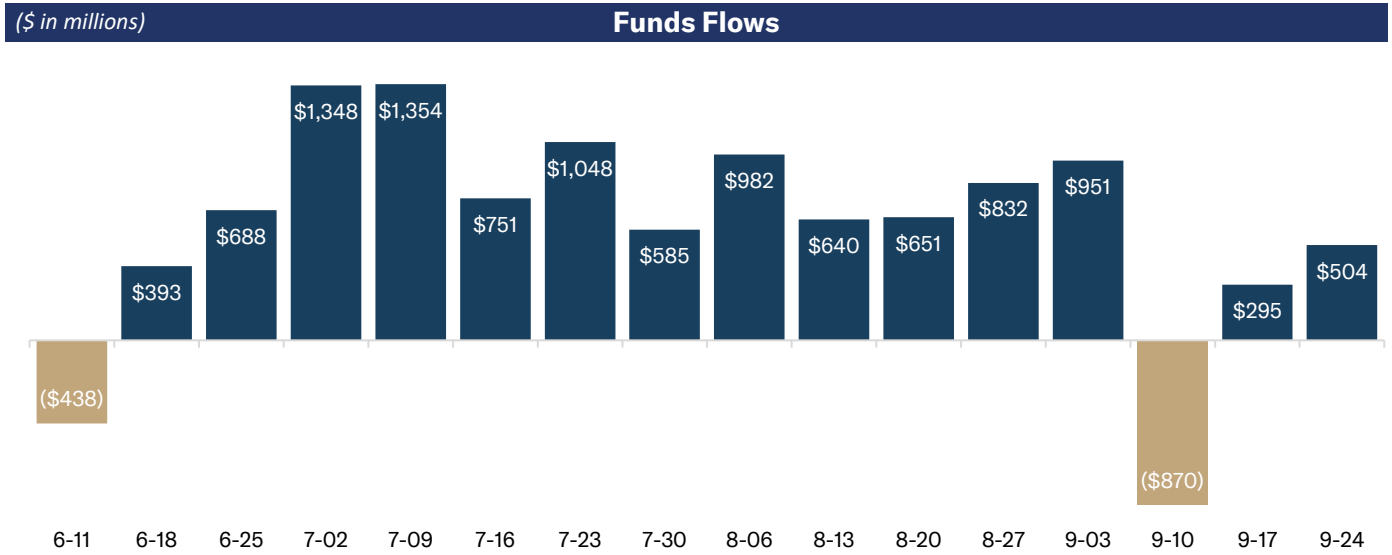
Leveraged Loans New Issuance and Funds Flows





Loan issuance has been robust following volatility seen in April in connection with Liberation Day. September experienced a flood of issuance across refinancings, dividend recaps, and M&A activity

Capital formation remains strong despite limited supply; YTD loan flows stand at ~$18bn vs. $10bn in 2024

2025 YTD CLO issuance stands at $149bn vs. $136bn in 2024 (+9.5%)

Sources: Morningstar, PitchBook LCD
Note: Data as of 09/30/2025
(1) Excludes pro rata issuance

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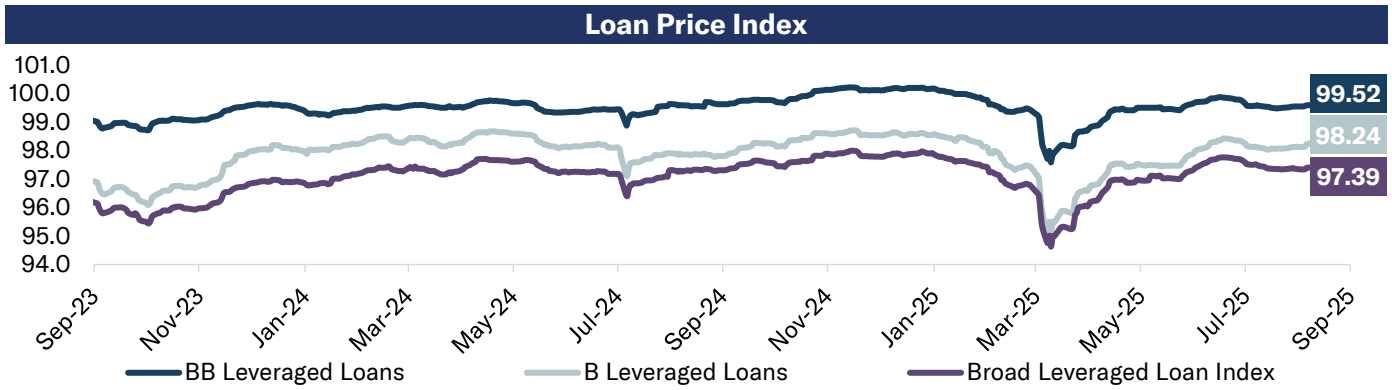
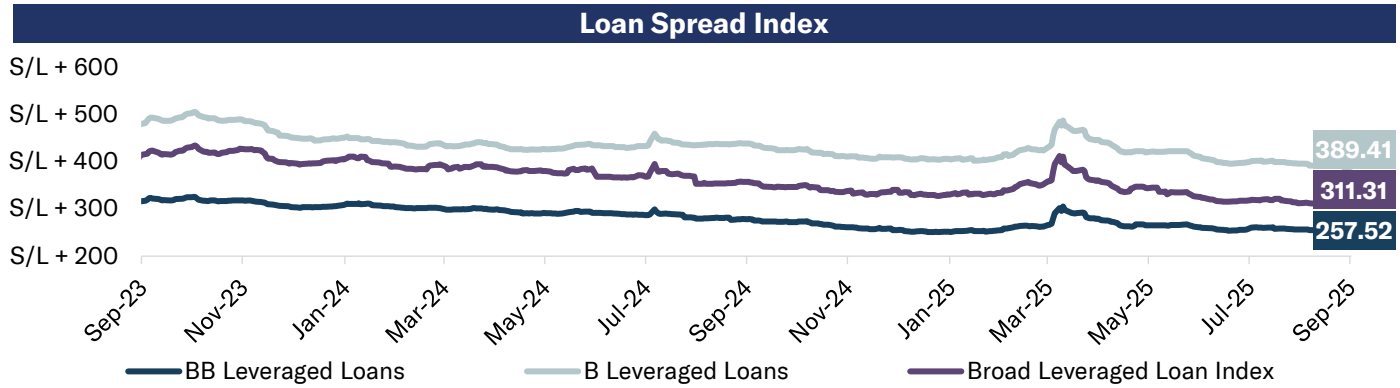
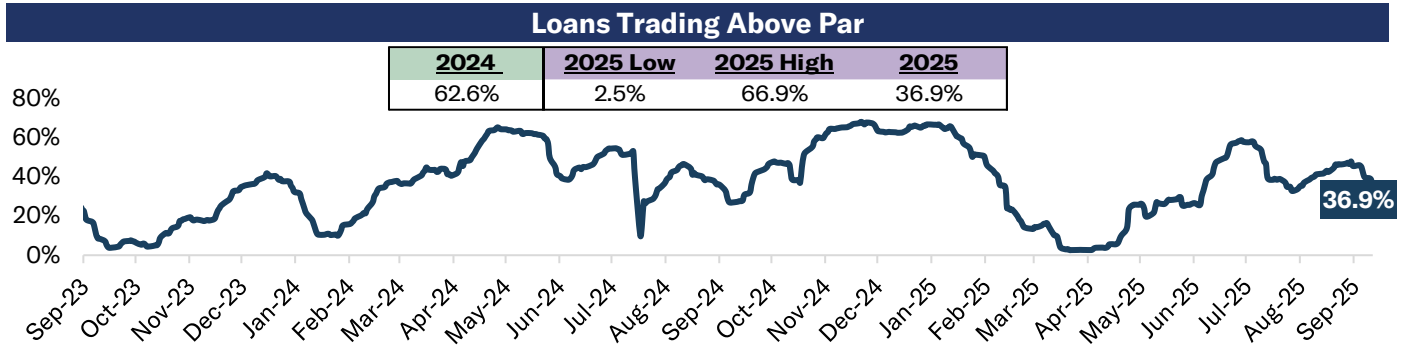
Leveraged Loan Pricing Trends







2024	2025 Low	2025 High	2025
62.6%	2.5%	66.9%	36.9%

Loan prices / spreads remain tightly bid and continue to be driven by an attractive technical backdrop

Investors remain supportive of refinancings, dividend recaps, and repricings, while also providing M&A related financing at attractive terms

Source: PitchBook LCD (as of 09/30/2025)

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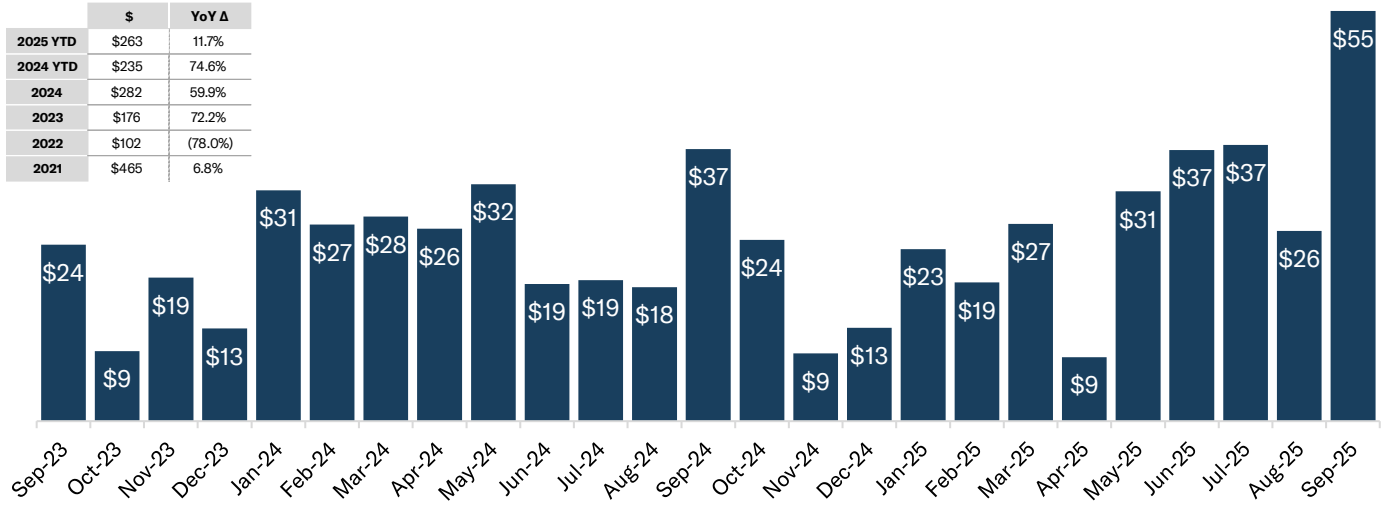
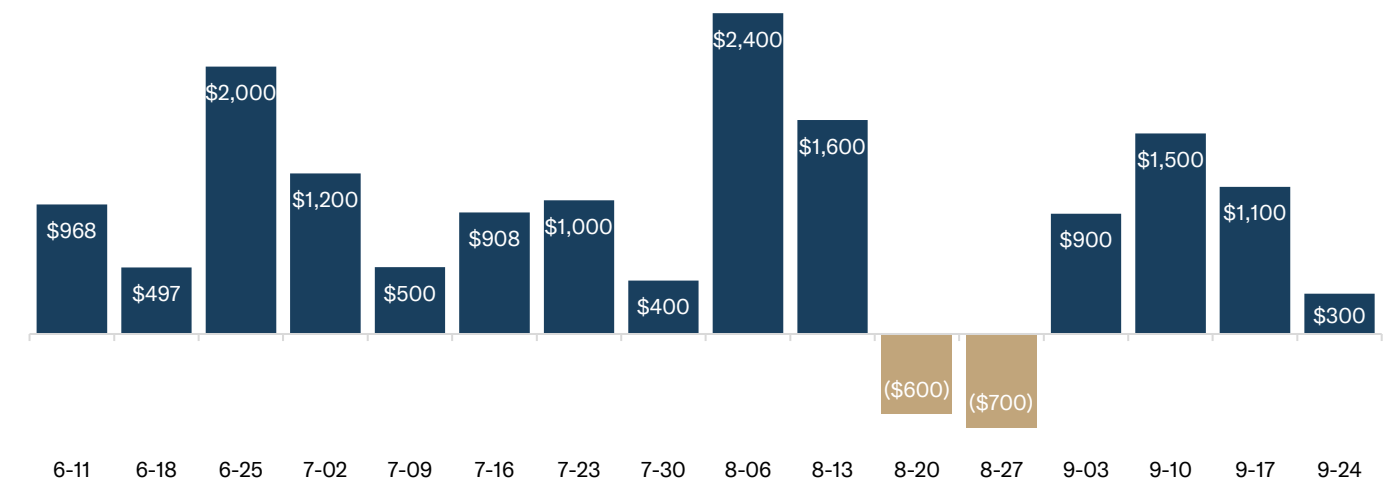
High Yield New Issuance and Funds Flows

($ in billions) **New Issuance[1]**

	$	YoY Δ
2025 YTD	$263	11.7%
2024 YTD	$235	74.6%
2024	$282	59.9%
2023	$176	72.2%
2022	$102	(78.0%)
2021	$465	6.8%



($ in millions) **Funds Flows**



Attractive spreads have resulted in an active HY market in 2025, with YTD issuance up 11.7% YoY

Fund flows have been incredibly robust since April, totaling ~$29bn

With investor cash surpluses and rate cut expectations, yields are approaching 3-year tights while spreads have compressed near all-time tights

Sources: Morningstar, PitchBook LCD
Note: Data as of 09/30/2025

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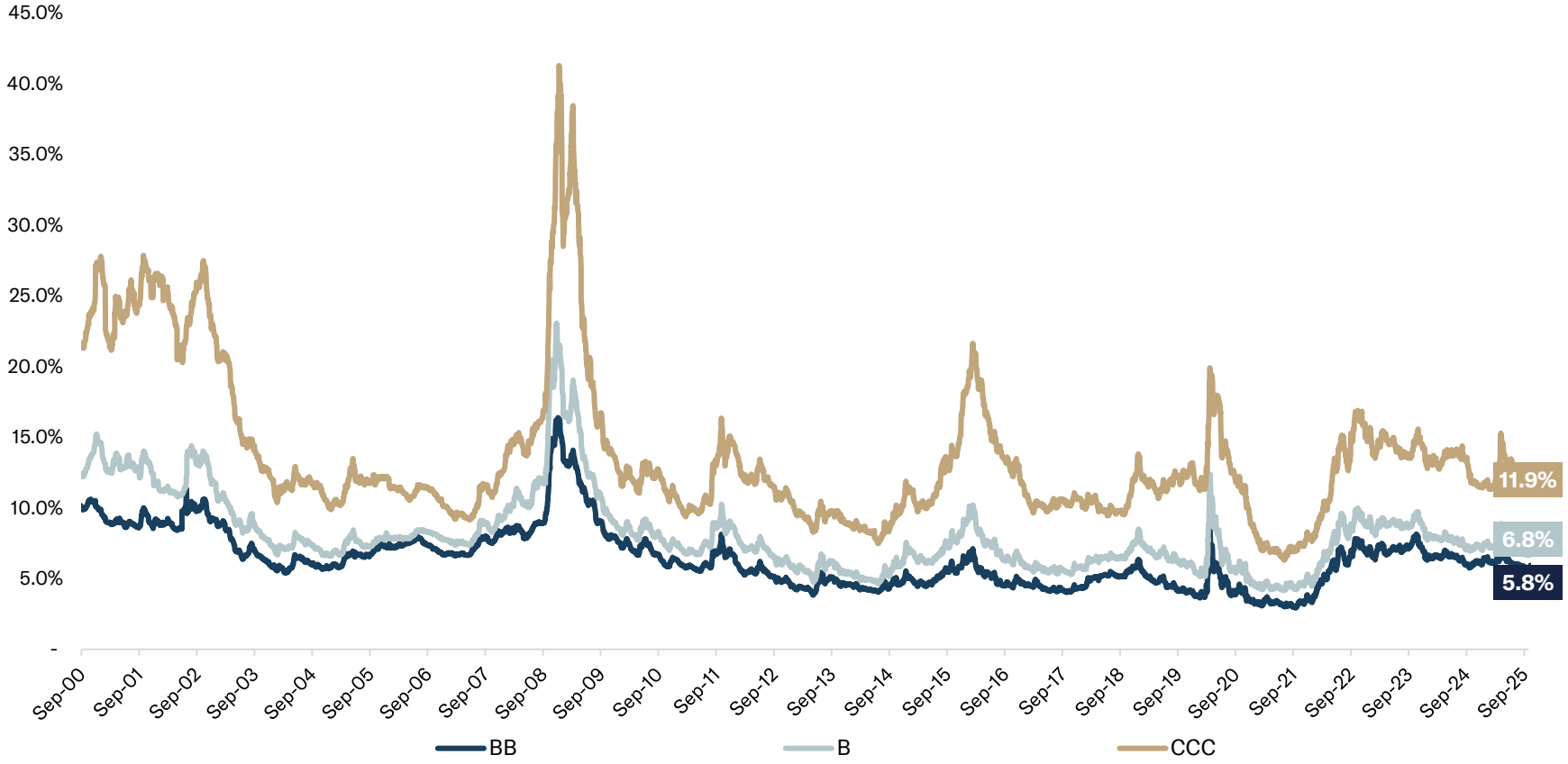
Historical High Yield YTW Performance

	BB	Δ	B	Δ	CCC	Δ
Current	5.75%		6.75%		11.87%	
20 yr Avg	6.06%	(31 bps)	7.60%	(85 bps)	12.51%	(64 bps)
20 yr Med	5.81%	(6 bps)	7.30%	(55 bps)	11.70%	17 bps
20 yr Min	2.91%	284 bps	4.15%	260 bps	6.29%	558 bps
20 yr Max	16.40%	(1,065 bps)	23.07%	(1,632 bps)	41.31%	(2,944 bps)



Source: FRED (as of 09/30/2025)

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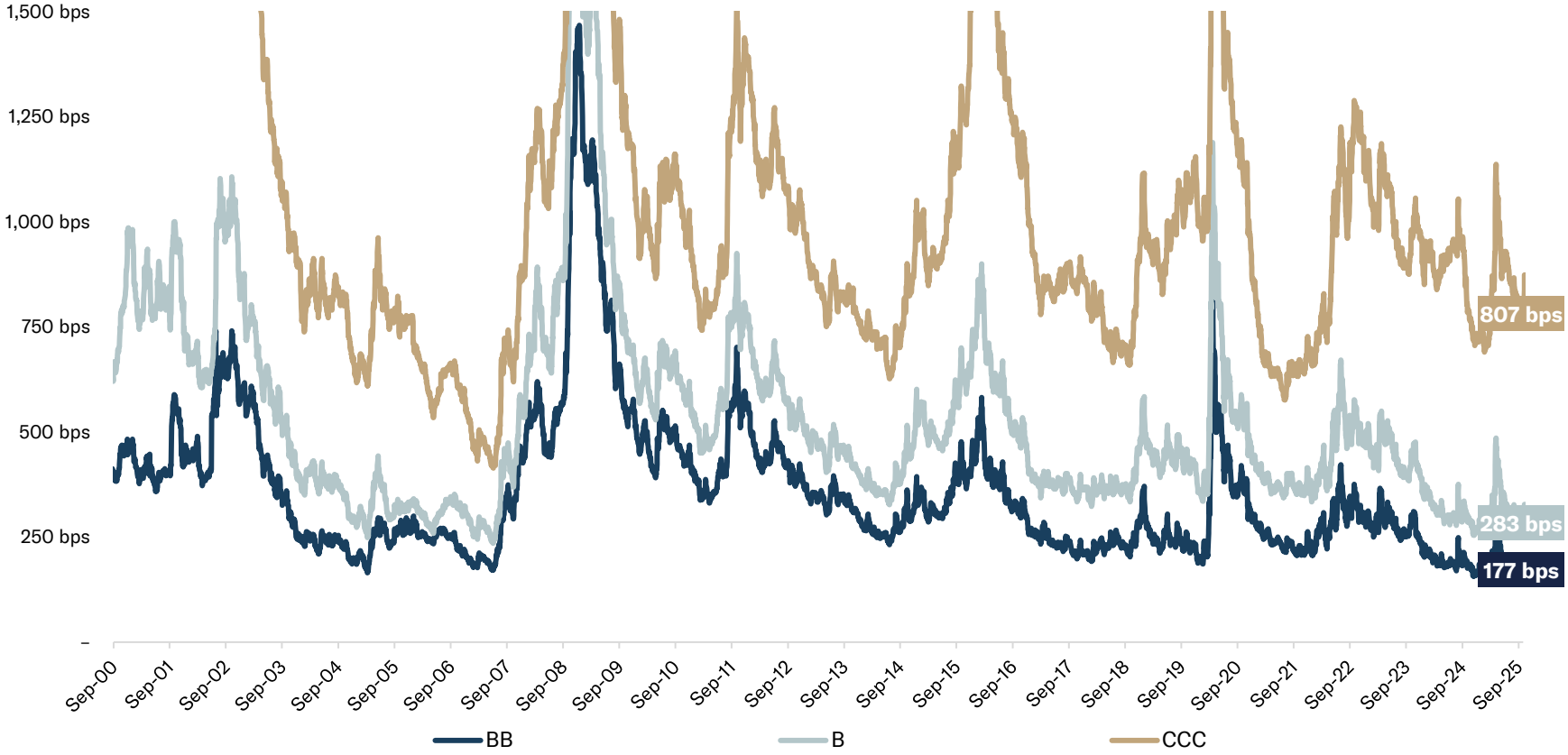
Historical High Yield STW Performance

	BB	Δ	B	Δ	CCC	Δ
Current	177 bps		283 bps		807 bps	
20 yr Avg	352 bps	(175)	514 bps	(231)	1,019 bps	(212)
20 yr Med	297 bps	(120)	454 bps	(171)	918 bps	(111)
20 yr Min	156 bps	21	236 bps	47	414 bps	393
20 yr Max	1,468 bps	(1,291)	2,084 bps	(1,801)	4,429 bps	(3,622)



Source: FRED (as of 09/30/2025)

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Private Credit Markets – Key Commentary

- **Private credit AUM remains a growth-oriented asset class and continues to evolve amidst the ongoing proliferation of "Private IG" credit strategies as asset managers seek to manage increasing amounts of insurance capital**
- **Competition for new assets remains fierce as private capital providers are still flush from recent years' robust fundraising while having to compete with elevated valuations in syndicated credit vs. a limited supply of actionable transactions**
  - Sourcing assets is the #1 cited headwind facing private credit participants over the next 6 months
  - Syndicated markets exhibiting extremely tight market technicals, with several large private credit deals refinanced in the BSL market during Q3
  - Issuance in both markets is down YoY as M&A activity failed to materialize as anticipated YTD
- **Amidst the market competition, private credit spreads continue to grind tighter for issuers of all sizes and across multiple industries**
  - Disparity in pricing is most acute in import-dependent industries with tariff exposure vs. service-oriented credits
- **Private IG strategies represents one of the fastest growing segments within private credit more broadly as asset managers continue to successfully court insurance capital**
  - Asset-backed-finance (ABF) strategies are expanding beyond traditional definitions and now include securitizations of music royalties, aircraft leases, data infrastructure and fund finance, amongst others
  - Private capital providers remain focused on large, public IG corporate issuers as a source of capital deployment to fund significant capex projects and / or monetization of assets through JV arrangements
- **Ducera believes the private capital markets offer a compelling alternative to traditional syndicated financings and anticipate continued adoption by borrowers, particularly corporates**
  - Premium pricing for private IG vs. traditional IG markets, but continued convergence on cost of capital and unique structuring flexibility make these alternatives increasingly attractive

Growth expectations for private credit remain robust, with expectations of becoming a $30 trillion asset class by 2030; Private IG strategies are expected to be one of the largest growth contributors

Scarcity of assets due to a prolonged slowdown in M&A is driving tightness across both private and syndicated credit markets, though M&A activity is beginning to accelerate

Private IG transactions continue to proliferate and represent a much larger opportunity set within the asset class

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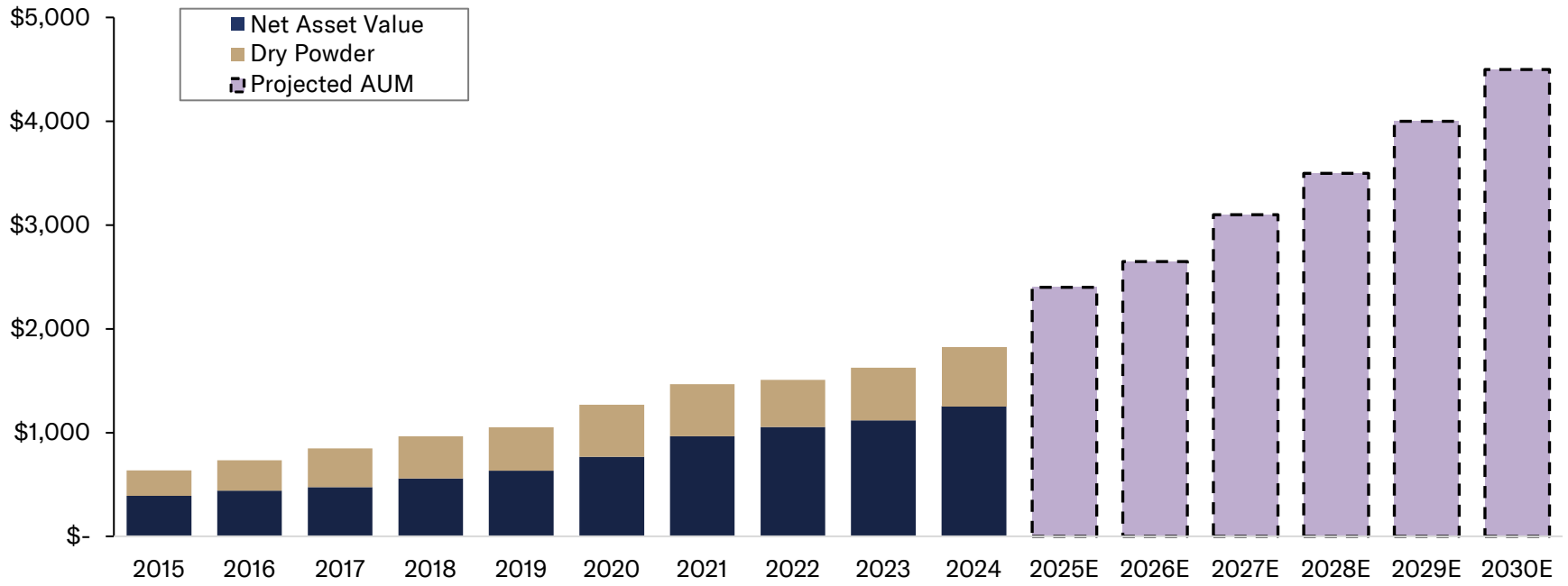
Private Credit Market Continues to Grow

Private Credit Global AUM *($ in billions)*



Private Credit Market Overview:

- Private credit global AUM[1] has surpassed $1.8 trillion and is expected to reach $4.5 trillion by year-end 2030
- Asset class has grown at a CAGR of 20% since 2020, though fundraising growth has slowed the past 3 years

Recent Notable Deals:

- 3Q25 saw three notable private credit financings:
  - LeafHome secured $2.0bn of private credit financing from Ares, in connection with its acquisition of Erie Home
  - Advent International closed a $1.0bn loan to support its LBO of Sapiens; Blackstone and Goldman Sachs Asset Management co-led the financing
  - DigiCert secured a $2.2bn financing package co-led by Ares and HPS Investment Partners, to refinance debt coming due in October 2026

Sources: PitchBook LCD (Data through March 31, 2025), BlackRock projections, Reuters, Reorg, Press Releases

Notes:

(1) Direct Lending, including distressed, opportunistic, mezzanine and venture debt; excluding real estate

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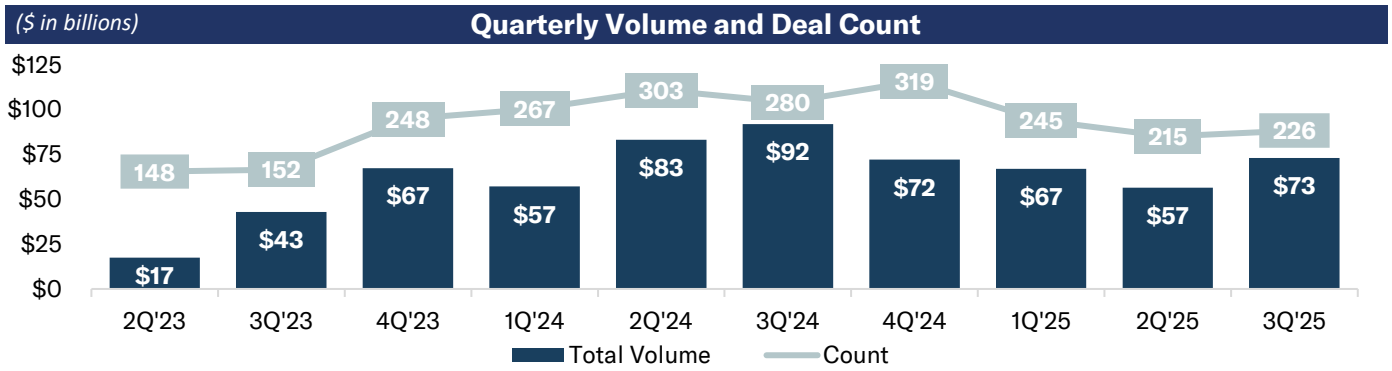
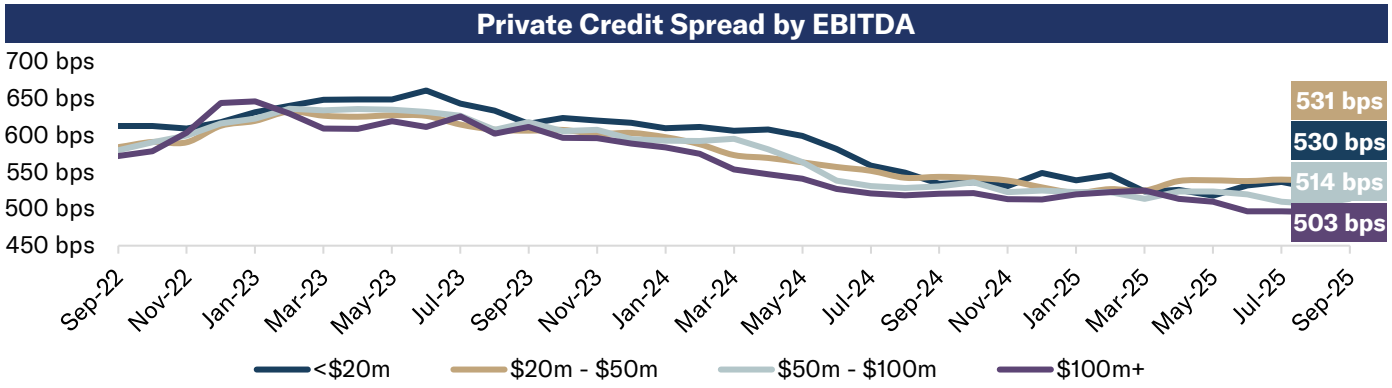
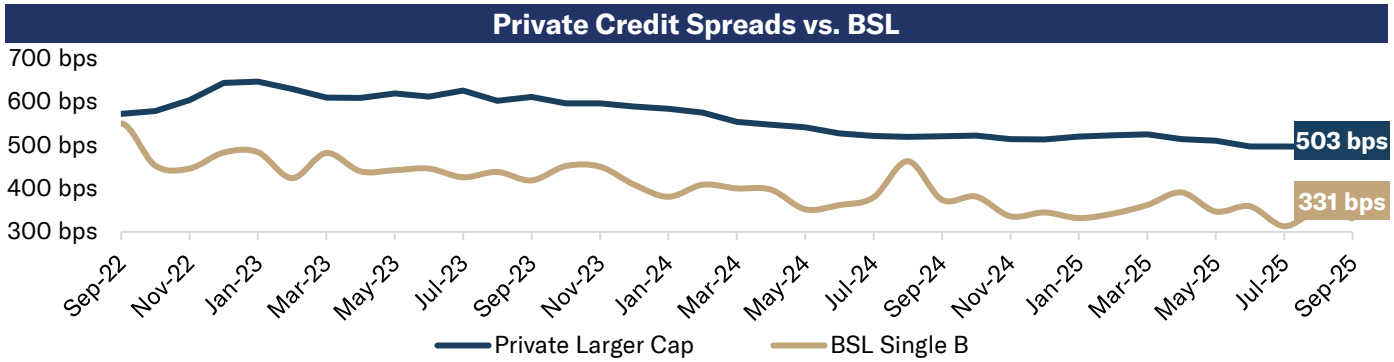
Private Credit Market Overview







Despite ongoing macroeconomic uncertainty and limited M&A activity, the economic outlook has returned to the optimism seen before Liberation Day, and direct lenders continue to demonstrate the ability to support large scale financing

Private Credit spreads continue to tighten amidst a fierce competition for paper with the broadly syndicated markets

Best-in-class issuers are able to price Unitranche structures as low as S + 450

 Sources: KBRA (as of 09/30/2025), S&P Global Ratings Private Market Analytics

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Select Recent Private Credit Financings (> $1.0bn)

Recent Direct Lending Deals						
Company	**Date**	**Debt Amount** *($ in mm)*	**Ownership**	**Lead Lender(s)**	**UoP**	**Terms**
LeafHome	Sep 2025	$2,000	GRIDIRON CAPITAL	ARES	Acquisition	Not Disclosed
ABC TECHNOLOGIES	Aug 2025	$1,600	APOLLO OAKTREE	HPS	Acquisition	Not Disclosed
SAPIENS	Aug 2025	$1,000	Advent	Goldman Sachs Asset Management, Blackstone	LBO	Not Disclosed
digicert	Jul 2025	$2,200	CLEARLAKE, TA	ARES, HPS	Refi	Not Disclosed
alvotech	Jun 2025	$1,080	NASDAQ: ALVO	GoldenTree ASSET MANAGEMENT LP	Refi	S+600
Revolution Medicines	Jun 2025	$2,000	NASDAQ: RVMD	ROYALTY PHARMA	General Corp	S+575
ModMed	May 2025	$2,350	CLEARLAKE	ARES, BLUE OWL	LBO	S+525
Consumer Cellular	May 2025	$3,625	GTCR	HPS	Refi/Dividend	S+500
dun & bradstreet	May 2025	$5,000	CLEARLAKE	ARES, Morgan Stanley	LBO	S+550
proofpoint	May 2025	$1,200	THOMABRAVO	Goldman Sachs Asset Management	Acquisition	Not Disclosed
Vantive	Apr 2025	$2,500	CARLYLE	OAKTREE OCSL | Specialty Lending Corporation	LBO	S+500

Source: CreditSights
Note: Data as of 09/30/2025

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Select Recent Private Credit Financings (< $1.0bn)

Recent Direct Lending Deals						
Company	**Date**	**Debt Amount** *($ in mm)*	**Ownership**	**Lead Lender(s)**	**UoP**	**Terms**
New Story	Sep 2025	$500	Audax Group	AllianceBernstein	Refi	Not Disclosed
ACCUITY	Aug 2025	$500	FRAZIER HEALTHCARE PARTNERS	Blackstone	General Corp	S+525
COHERENT	Aug 2025	$400	Advent	Canyon Partners LLC	LBO	Not Disclosed
Crusoe	Aug 2025	$175	Founders	Victory Park Capital	General Corp	Not Disclosed
EoS Fitness	Aug 2025	$215	TSG Consumer	Golub Capital	LBO	Not Disclosed
Fossil Group	Aug 2025	$150	HG Vora Capital Management	Ares	Refi	S+500
GoHealth	Aug 2025	$115	NASDAQ: GOCO	Blue Torch Capital	LBO	S+550
Greenix	Aug 2025	$233	Gridiron Capital	Churchill from nuveen	LBO	Not Disclosed
Highstreet Insurance Partners	Aug 2025	$550	abry partners	Ares	Acquisition	Not Disclosed
Liquid Tech Solutions	Aug 2025	$982	Wind Point Partners	Antares Capital	LBO	Not Disclosed
mannkind	Aug 2025	$500	NASDAQ: MNKD	Blackstone	General Corp	S+475

Source: CreditSights
Note: Data as of 09/30/2025

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iv. Distressed Opportunity Indicators

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Macro Trends: Credit Rating Agency Activity

Summary Credit Rating Agency Activity

	Moody's			S&P Global Ratings		
	Upgrade Count	Downgrade Count	Upgrade / Downgrade Ratio	Upgrade Count	Downgrade Count	Upgrade / Downgrade Ratio
Quarter Ending						
Sep 2025	84	86	1.0x	118	96	1.2x
Jun 2025	73	153	0.5x	149	126	1.2x
Mar 2025	120	83	1.4x	103	100	1.0x
Dec 2024	118	97	1.2x	101	123	0.8x
Sep 2024	97	74	1.3x	109	91	1.2x
Jun 2024	98	89	1.1x	158	112	1.4x
Mar 2024	113	104	1.1x	107	141	0.8x
Dec 2023	67	146	0.5x	94	126	0.7x
Sep 2023	87	96	0.9x	117	149	0.8x
Year Ending						
Dec 2024	426	364	1.2x	475	467	1.0x
Dec 2023	321	489	0.7x	421	605	0.7x
Dec 2022	427	355	1.2x	458	414	1.1x
Dec 2021	650	188	3.5x	642	328	2.0x
Dec 2020	313	865	0.4x	332	1,311	0.3x

Current Quarter Notable Downgrades

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Saks

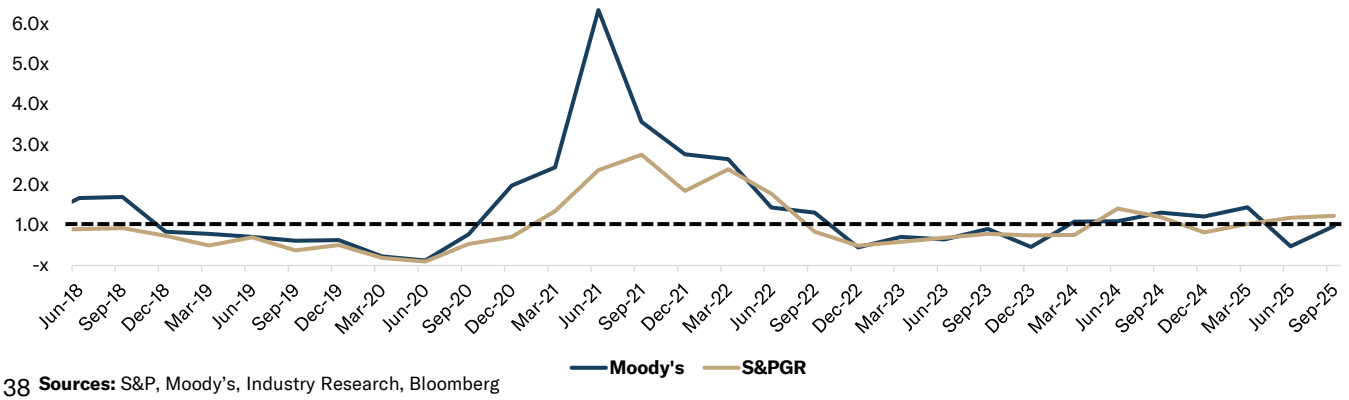
WORLDLINE

Upgrade / Downgrade ratios varied slightly in Q3 between agencies, with Moody's at 1.0x and S&P Global at 1.2x

Per S&P reports, the consumer discretionary sector recorded the highest number of credit rating downgrades, reflecting lingering effects and uncertainty surrounding tariff policies

Meanwhile, healthcare posted the highest median probability of default at 5.43%, indicating elevated credit risk across the sector

Quarterly U.S. Upgrades to Downgrades Ratio



Sources: S&P, Moody's, Industry Research, Bloomberg

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Macro Trends: Distressed Sector Trading Summary

- The below details a sector summary of Ducera's distressed debt company tracker – the table reflects a summary by sector of all identified bonds & loans with trading prices < 85c, yielding > 15%, and with ≥ $100mm aggregate debt outstanding

Distressed Sector Trading Summary

($ in US millions)

	Debt Securities(1)								Net Change			
				Trading Price (Weighted Avg.)								
Sector	**Amt. Out ($m)**	**Current YTM (%)**	**Current STM (%)**	**Current (9/30)**	**Prior Day (9/29)**	**Prior Wk. (9/23)**	**Prior Mo. (9/2)**	**Quarter End (06/28)**	**1 Day Δ**	**1 Wk. Δ**	**1 Mo. Δ**	**QTD Δ**
Telecommunications	$19,343	28.4	22.0	59.0	58.9	59.7	63.4	60.5	0.1	(0.8)	(4.4)	(1.5)
Chemical, Plastic and Rubber Materials	16,313	29.7	17.5	52.5	52.7	63.7	68.1	76.3	(0.1)	(11.2)	(15.6)	(23.8)
Software and Consulting	13,520	51.1	46.1	46.2	46.3	46.7	47.3	47.6	(0.1)	(0.4)	(1.1)	(1.3)
Manufactured Products	11,504	30.1	23.7	66.2	66.2	66.3	67.6	71.1	0.1	(0.1)	(1.4)	(4.9)
Investment Services	10,680	29.6	27.4	65.5	65.9	66.2	64.7	58.0	(0.4)	(0.6)	0.9	7.6
Healthcare Services	6,979	56.2	46.8	54.8	54.8	55.0	56.7	60.8	(0.0)	(0.1)	(1.9)	(5.9)
Media and Publishing Services	6,566	45.6	44.3	54.6	54.4	54.1	51.7	50.1	0.2	0.4	2.8	4.5
Industrial Manufacturing	5,827	38.1	34.7	61.1	61.1	61.1	61.0	65.5	0.1	0.0	0.1	(4.4)
Business Services	4,907	46.8	39.0	48.4	48.3	50.0	55.4	65.0	0.0	(1.6)	(7.0)	(16.7)
Financially Operative Institutions	4,311	26.6	23.8	62.2	62.0	61.7	62.0	68.3	0.2	0.5	0.2	(6.2)
Hospitality Services	4,179	25.5	20.2	63.3	63.7	63.1	66.6	68.8	(0.4)	0.2	(3.3)	(5.5)
Downstream and Midstream Energy	4,128	63.7	55.7	30.8	30.6	33.1	36.8	44.9	0.3	(2.2)	(6.0)	(14.0)
Upstream Energy	3,474	87.8	25.8	54.6	54.7	54.6	55.2	53.5	(0.2)	(0.0)	(0.6)	1.0
Hardware	3,376	24.7	19.0	57.4	57.3	58.0	59.8	61.5	0.1	(0.6)	(2.4)	(4.1)
Corporate or Other Unallocated Revenue	2,904	67.6	55.9	34.6	34.7	34.4	35.0	47.8	(0.1)	0.2	(0.4)	(13.2)
Food and Tobacco Production	2,900	64.1	61.0	41.2	36.8	36.8	35.0	37.2	4.4	4.4	6.2	4.0
Industrial Services	2,724	36.3	30.5	50.9	52.6	53.1	52.1	40.1	(1.7)	(2.2)	(1.2)	10.8
Utilities	2,540	28.8	26.9	63.3	59.6	59.6	60.9	60.8	3.7	3.7	2.5	2.6
Consumer Retail	2,358	56.9	55.2	48.4	48.5	48.8	51.0	57.5	(0.0)	(0.4)	(2.5)	(9.0)
Real Estate	1,925	62.8	69.8	45.0	45.4	47.2	48.8	51.4	(0.4)	(2.2)	(3.8)	(6.4)
Consumer Vehicles and Parts	1,751	74.5	68.2	45.5	46.2	54.9	86.2	84.7	(0.7)	(9.4)	(40.7)	(39.2)
Consumer Goods	1,523	28.2	25.1	58.9	60.6	59.3	59.6	57.8	(1.7)	(0.4)	(0.8)	1.1
Food and Staples Retail	1,395	47.1	40.6	60.5	61.0	61.7	64.4	64.9	(0.5)	(1.2)	(3.8)	(4.4)
Household Products	1,270	28.2	24.8	62.4	62.4	62.1	65.3	72.7	(0.0)	0.3	(2.9)	(10.3)
Specialty Finance and Services	1,119	41.2	24.9	41.1	45.1	50.0	56.6	74.0	(4.0)	(8.9)	(15.5)	(32.9)
Miscellaneous Retail	1,046	19.2	18.9	80.7	80.6	81.5	74.1	73.3	0.1	(0.8)	6.7	7.4
Biopharmaceuticals	711	92.7	88.1	40.5	40.3	35.7	36.0	36.6	0.2	4.7	4.5	3.9
Mining and Mineral Products	600	22.1	18.8	71.0	69.8	71.2	74.3	79.4	1.2	(0.2)	(3.3)	(8.4)
Healthcare Equipment	275	76.2	72.9	46.3	45.7	42.5	26.3	15.0	0.7	3.8	20.0	31.3
Household Services	240	38.9	34.6	53.9	53.7	53.3	52.8	53.1	0.1	0.6	1.1	0.7
Electronic Components and Manufacturing	150	15.8	12.1	82.0	82.0	82.0	82.0	82.0	–	–	–	–
Total	**$140,539**	**40.3**	**33.0**	**55.2**	**55.1**	**56.9**	**58.8**	**60.7**	**0.0**	**(1.7)**	**(3.7)**	**(5.6)**

Sources: S&P Global Market Intelligence, FactSet
(1) Based on securities identified from screen, as opposed to total capital structure
(2) Reflects total unique situations identified as part of screen

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Distressed Markets Review

- **Leveraged Loan Issuance Rebounds in Q3 Amid Stabilizing Market Conditions**
  - The US leveraged loan primary market priced $45bn of new issuance in September, one of the strongest months of 2025 and a clear rebound from Q2's volatility-driven slowdown
- **Improving Credit Quality Mix and Robust Industrial Activity Support Leveraged Loan Issuance Momentum**
  - September saw BB-rated supply overtake low-Bs as investors rotated up the quality curve, while Industrials contributed $14bn of volume, representing nearly one-third of total issuance
  - The market's bias toward higher-rated and longer-tenor deals underscores both investor selectivity and issuers' renewed confidence in accessing capital
- **Refinancing Activity Remains a Key Driver of Loan Supply**
  - Refinancing continued to account for roughly half of monthly issuance in September, as borrowers capitalized on stable market conditions and tighter spreads
  - Equity recapitalizations and M&A/LBO transactions led the use of proceeds, though refinancing volumes remain broadly in line with year-to-date trends, reflecting sustained demand for repricing and balance-sheet optimization opportunities
- **High-Yield Issuance Reaches Record Levels Amid Easing Market Conditions**
  - The U.S. high-yield market posted its strongest September on record, supported by lower yields, steady risk appetite, and continued retail inflows
  - Issuance momentum brought Q3 volumes to one of the highest quarterly totals on record as borrowers took advantage of favorable financing conditions and narrowing spreads
  - Total returns moderated but remained positive, reflecting improving confidence and a constructive backdrop that leaves high-yield on pace for one of its best annual performances since 2021

Through Q3 2025, distressed markets stabilized as credit conditions improved and primary issuance rebounded across leveraged loans and high yield

Spreads tightened meaningfully from mid-year wides as macro volatility subsided, tariff-related uncertainty eased, and investors rotated back into risk

The combination of lower rate volatility, rising issuance volumes, and steady investor inflows points to improving liquidity and more orderly price discovery heading into year-end

 Sources: LCD Credit Analysis, News Reports, CreditSights

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III. Ducera Partners Overview

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Ducera Partners Overview

Full-service investment banking and strategic advisory firm

Advisory Verticals

- *Mergers & Acquisitions and Strategic Advisory*
- *Capital Structure Advisory*
- *Capital Solutions*

Key Facts

Founded in *2015*

13 Partners and *60+* total Investment Bankers

100% Partners-owned

$850bn+ deal volume to date

30+ year advisory track record

100% focused on driving exceptional outcomes for our clients

Landmark Transactions

M&A	Restructuring	Liability Management	Financing

For every client we commit to being:

Experienced
Reliable
Focused
Practical
Detailed
Tenacious

The Fiery Ones

Bold
Seasoned
Attentive
Creative
Collaborative
Entrepreneurial
Industrious
Trusted

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Ducera Partners Principles

For nearly three decades, our leadership team has been advising on many of the most relevant corporate finance transactions in the industry. We are known for developing and maintaining close relationships with decision makers because of the results we provide and the business principles our senior leadership follows.

Client-Centric

We always put our **clients' interest first**; our success is directly aligned with the success of our clients.

Trusted

The relationships that we have with our clients are integral to our work; **advice** and **trust** go hand in hand.

Authentic

As business owners ourselves, our clients know that we advise from a place of **insight** and **action**. Nothing is theoretical – we know because we have been there.

Agile

We consider all variables, playing out multiple scenarios simultaneously, to design the best **solution** for our clients. We don't accept the status quo or the easier path.

Bold

We bring **strength** and **experience** in the face of difficult and transformational events. When times are the toughest, we are fully prepared so our clients can move ahead with confidence

Simplification

We do the heavy lifting so our clients don't have to worry; we **simplify** the complex.

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Ducera Partners Advisory Verticals

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.

Ducera advises clients on their most strategic transformative transactions.
Our professionals, with roots in complex corporate finance, offer independent advice to companies and stakeholders in a broad range of situations.

Ducera provides clients with leading-edge capital structure and restructuring advice.
We have pioneered a number of the most innovative transactions in various industries in transition. Both in and out of court, our team's highly collaborative approach is unparalleled.

We are the ones top decision-makers seek out

Ducera advises clients on liability management ("LM") transactions related to companies' capital structures and other off balance sheet liabilities.
We develop creative transaction structures that proactively address stressed balance sheets, the need for growth capital, and maximize value.

Ducera advises companies and other issuers as they navigate the complexities of the capital markets.
Clients rely on our depth of experience to fully assess all available options. We tap into our vast network to help clients efficiently achieve their objectives. Years of experience and global connectivity make us a preferred choice for clients' capital solutions.

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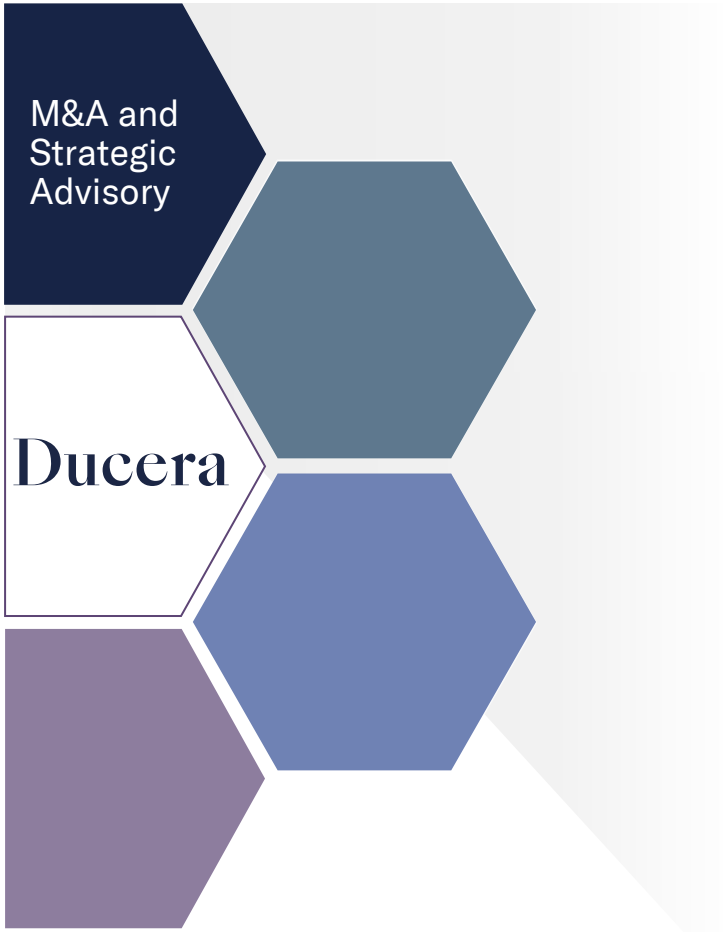
Ducera Partners – M&A and Strategic Advisory

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.



Sell-Side Advisory

- *Broad **sector experience***
- *Founder / family-owned, privately held and public company advisory*
- *Carve-outs, structured and staged sale transactions*
- *Successfully **positioning storied companies** / navigating complex dynamics*

Buy-Side Advisory

- *Broad sector experience*
- *Public and private targets*
- ***Creative solutions** to navigate complexity and structure transactions*
- *Private Capital Advisory expertise for creative acquisition financing*

Other M&A Advisory Roles

- *Fairness opinions*
- *Special committee assignments*
- *Stakeholder, minority shareholder, **management team advisory***
- *Navigating pre- and post-reorganization M&A dynamics*
- *Takeover defense and shareholder advisory*

Strategic Advisory

- *Ongoing evaluation of business plan / **strategic positioning** ahead of future transactions*
- *Review of business / assets portfolios and opportunities for non-core holdings*
- ***Unconflicted evaluation** of sale vs IPO alternatives*
- *Cross-border and complex situations advisory*

Risk Advisory

- *Assessment and evaluation of historical, current, and potential contingent liabilities, including litigation, environmental, IP, and other off-balance sheet risks*
- *Development and **execution of actionable strategies** to proactively mitigate exposures to these risks and liabilities to maximize shareholder value*

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Ducera Partners – Restructuring Advisory

As **business owners ourselves**, our clients know that we advise from a place of **insight** and **action**. **Nothing is theoretical**—we know because we've been there.

Restructuring Advisory

- *Debtor & Creditor side advisory in both consensual and contested situations*
- *363 Sales, pre-packaged, pre-arranged, and traditional chapter 11 restructurings*
- *Out-of-court recapitalizations and reorganizations*
- *Successfully **facilitating novel solutions that maximize value for our clients***

Liability Management

- ***Developing creative transactions** and bespoke new money solutions that address stressed balance sheet situations*
- ***Protecting clients** through position enhancing and consensual LM transactions*
- *Delivering expertise that **maximizes both game theory principles and leverage for our clients** across a variety of transactions, including consent solicitations, exchange offers, amend & extends, drop-downs, tender offers, and open market repurchases*
- *Pension and OPEB liability advisory*

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Ducera Partners – Capital Solutions Advisory

Debt Capital

- *Expertise in private credit and direct lending markets*
- *Navigating broadly syndicated loan and high yield markets*
- *Structuring expertise to achieve tailored capital needs*

Equity Capital

- *Delivering capital solutions throughout multiple stages of a company's lifecycle*
- *Variety of expertise, including common, preferred and hybrid equity*
- *Pre-IPO and IPO advisory services including company preparedness, planning, underwriter selection and execution support*

M&A

- *Expert advisory in arranging capital alongside buyside engagements*
- *Lender education / shadow staple arrangements to support sell-side mandates*
- *Capital structure analysis and assessment to guide M&A strategy*

Bespoke Solutions

- *Arranging novel or highly structured financing solutions*
- *Advisory services to state and governmental agencies navigating complex regulatory environments*
- *Litigation finance, securitizations, captive insurance funding, NAV loans, etc.*

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Cary Street Partners Strategic Partnership

CARY STREET PARTNERS

- Founded in 2002 and headquartered in Richmond, VA, Cary Street Partners is a leading independent wealth manager that offers a comprehensive suite of services to its clients. As of YE2024, Cary Street Partners has reached $10bn AUM
- Ducera has invested in and maintains a strategic partnership with Cary Street Partners since 2019

Service Offerings
Independent Research
Economic Insights
Hybrid RIA
70+ Financial Advisors
20 Offices across the southern & mid-Atlantic regions
https://carystreetpartners.com/
Joseph R. Schmuckler, CEO
Matthew L. Rubin, CIO

	Comprehensive Wealth Management
✓	Financial Planning
✓	Investment Management
✓	Research & Portfolio Advisory Services
✓	Data Aggregation
✓	Estate & Life Insurance Strategies
✓	Performance Reporting
✓	Corporate Benefits & Retirement Planning
✓	Diversified Model-Based Asset Management

 Sources: Cary Street Investor Presentation, Company Website

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Cary Street Partners Footnotes

All market performance figures are sourced from Morningstar.

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Fixed income investments have several other asset-class specific risks. Inflation risk reduces the real value of such investments, as purchasing power declines on nominal dollars that are received as principal and interest. Interest rate risk comes from a rise in interest rates that causes a fixed income security to decline in price in order to make the market price-based yield competitive with the prevailing interest rate climate. Fixed income securities are also at risk of issuer default or the markets' perception that default risk has increased.

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Cary Street Partners Footnotes (cont'd)

Comparative Index Descriptions: Historical performance results for investment indices have been provided for general comparison purposes only, and generally do not reflect the deduction of transaction or custodial charges, the deduction of an investment management fee, nor the impact of taxes, the incurrence of which would have the effect of decreasing historical performance results. It should not be assumed that your account holdings do or will correspond directly to any comparative indices. An investor cannot invest directly in the indices shown, and accurate mirroring of the indices is not possible.

The Standard & Poor's (S&P) 500 Index is an index of 500 stocks seen as a leading indicator of U.S. equities and a reflection of the performance of the large cap universe, made up of companies selected by economists. The S&P 500 is a market value weighted index and one of the common benchmarks for the U.S. stock market.

The Russell 1000® Growth Index measures the performance of the largecap growth segment of the U.S. equity universe. It includes those Russell 1000 companies with relatively higher price-to-book ratios, higher I/B/E/S forecast medium term (2 year) growth and higher sales per share historical growth (5 years). The Russell 1000® Growth Index is constructed to provide a comprehensive and unbiased barometer for the large-cap growth segment. The index is completely reconstituted annually to ensure new and growing equities are included and that the represented companies continue to reflect growth characteristics.

The MSCI EAFE Index is a stock market index that measures the performance of large- and mid-cap companies across 21 developed markets countries around the world. Canada and the USA are not included. EAFE is an acronym that stands for Europe, Australasia, and the Far East.

The MSCI Emerging Markets is a global stock market index that tracks the performance of large and mid-cap companies across 24 emerging markets. It is maintained by MSCI, formerly Morgan Stanley Capital International, and is used as a common benchmark for global emerging market stock funds.

The Nasdaq-100 Index is a "modified capitalization-weighted" index designed to track the performance of a market consisting of the 100 largest and most actively traded non-financial domestic and international securities listed on The Nasdaq Stock Market, based on market capitalization.

The Bloomberg Barclays US Aggregate Bond Index (U.S. Agg Bond) is a market capitalization weighted index, meaning the securities in the index are weighted according to the market size of each bond type. Most US traded investment grade bonds are represented. Municipal bonds and Treasury Inflation-Protected Securities are excluded due to tax treatment issues. The index includes Treasury securities, Government agency bonds, mortgage-backed bonds, corporate bonds, and a small number of foreign bonds traded in the U.S.

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